Ep #22 | WTF are Craft Beverages? Nikhil ft. the Founders of Blue Tokai, Subko, Svami, and Mossant

[Speaker 2] (0:00 - 1:39)

Anybody who wants to learn or who's keen on starting a coffee shop, a kombucha brand, sell tonic and service all the alcoholics in the country should learn something here and go away with that. Rolling? Ready?

Hi guys, welcome. Thank you for making the effort of lying down. So this is a lot of fun.

It's not as serious as the energy you guys are giving out right now. We're here to like, together and have a good time. And hopefully, anybody who wants to learn or who's keen on starting a coffee shop, a kombucha brand or sell tonic and service all the alcoholics in the country, any of that should learn something here and go away with that.

Yeah, so we're trying to achieve that. Let's start by telling everyone a little bit about ourselves. Who'd like to go first?

Matt, you look very interesting.

[Speaker 3] (1:41 - 1:43)

Looks interesting. Interesting face.

[Speaker 2] (1:43 - 2:04)

Yeah, I peaked already. When I saw you today for the first time, I was trying to like work out, are you Indian? Are you not Indian?

Yeah. Then I looked at your eyes and then I'm like, no. Can't be Indian, no?

Half. Half. Explain.

So my father, he's from Chennai.

[Speaker 4] (2:05 - 2:16)

He was born and brought up there. He emigrated to the US for graduate school. So then he settled there and he met my mom.

She's Polish, German-American. The Polish genes were stronger. Yeah.

So that's how I got the eyes.

[Speaker 2] (2:17 - 2:20)

So you moved out when you were how young from Chennai?

[Speaker 4] (2:20 - 3:05)

No, no. I was born in the US, born and brought up there. So I grew up in Wisconsin.

I went to college in New York. That's kind of where I started drinking Starbucks coffee because it was available and kind of, you know, it was never for enjoyment. It was just to have something to stay awake.

So I was there for four years, studied finance, moved to San Francisco and I was there when especially coffee was really taking off and becoming the mainstream coffee culture. Then I started going to these coffee shops. I started understanding that coffee could be more than a functional beverage, where it comes from, how it's roasted, how it's brewed, can open up a wide variety of flavor.

And I started roasting coffee as a hobby. So I did that for a number of years, worked in financing.

[Speaker 2] (3:06 - 3:07)

Shops, beverages, years, everything long.

[Speaker 4] (3:11 - 4:04)

Yeah, so I was doing that. Then my parents were professors. So I thought I'll also become a professor.

Went to grad school in Canada, didn't really like it. Then I started doing international development projects. So then I was in the Middle East for a year, then moved back to the US.

Then in 2011, there was an opportunity to work for an organization in Chennai called IFMR. Okay, what is IFMR? IFMR does financial research. So basically they were executing research projects for US and European professors here in India.

So I was basically executing the on-the-ground work, doing the modeling, working with the professors. My future wife was working at the same organization. So we met while we were there, ended up getting married.

Chennai was not a city that I personally enjoyed. I found it quite traditional.

[Speaker 2] (4:04 - 4:05)

Is she Tamil?

[Speaker 4] (4:05 - 4:09)

No, no. She's from UP. Wow.

But she grew up in Oman.

[Speaker 2] (4:10 - 4:12)

You have kids. How do they look?

[Speaker 4] (4:13 - 5:12)

They look like, so actually one has very light eyes, surprisingly, and one has dark eyes. But they look like a mix of randomness. Yeah, so we moved to Delhi.

We were both at points in our careers where we were tired of what we were doing. I actually used to brew beer, so I thought maybe we'll open up a brewery. Investment is too high for that.

I used to grow mushrooms. I thought we'll grow mushrooms. There's no money in that, at least back then.

But we were both really into coffee and we found that coffee, this was 2012, coffee situation in Delhi was quite desperate at that time. No good coffee. So we thought, let's start a coffee company.

And so we started in 2012, went down, visited the producers, convinced them to sell us their export quality coffee, and we launched it out of a small bedroom in my wife's parents' house.

[Speaker 2] (5:13 - 5:14)

And then how did Bluetooka happen?

[Speaker 4] (5:15 - 6:00)

Yeah, so then we were looking for coffee, basically. Actually, we started it without a business plan, without anything, more for self-consumption. And we felt that there would be other people like us who were looking for specialty coffee.

Because at that point in time, it wasn't really available in India. Even when we went and talked to the growers, they felt that Indian consumers weren't ready to pay for good quality coffee, that you'd have to cut it with Robusta or do a commodity Arabica offering in order to bring the price down so that you could get acceptance. So we started very small, we had a 500 gram tabletop roaster.

So I would roast the coffee and Amrita would do the grinding and the packaging. And it just kind of slowly evolved from there.

[Speaker 2] (6:00 - 6:01)

Was that your first job in coffee?

[Speaker 4] (6:02 - 6:02)

Yeah.

[Speaker 2] (6:03 - 6:05)

And what age were you when you started this?

[Speaker 4] (6:05 - 6:07)

Would have been 29.

[Speaker 2] (6:09 - 6:16)

And what were you doing up until you were 29? So I started working, my first job was at an economic and real estate consulting company.

[Speaker 4] (6:17 - 6:19)

I worked at a hedge fund for a while as a trader.

[Speaker 2] (6:20 - 6:30)

Wow, hedge fund. What kind of hedge fund? It was a REIT hedge fund.

Real estate, illiquid asset classes? No, no, mostly the publicly traded REITs.

[Speaker 4] (6:32 - 7:24)

Actually, it was right when the meltdown happened. Were you short? They were short, yeah.

Then after that, I started doing the development project. So I was in Jordan, working for a stone and tile export organization on a USAID project, which I guess now there'll be no more USAID apparently. So that was...

What is USAID? It's a U.S. government's aid organization that Trump has said is full of terrorists and needs to be shut down. So I did that.

Then I was in the U.S. working for an NGO that did, again, development. So actually, they work with Dastakar. I don't know if you know Dastakar is an Indian handcraft and clothing NGO in Delhi.

Some projects in South Africa. So I did the monitoring and evaluation for them.

[Speaker 2] (7:24 - 7:47)

And then I moved to Chennai to work at IFMR. Okay, so let's move on from Matt to Aditya. Today morning, when we were researching you, I was sitting with my team. And when I spoke about Aditya, they were like, that cute guy.

Meghna said this. Right? See that girl there.

[Speaker 1] (7:49 - 7:50)

No, I know Meghna. I know Meghna from before.

[Speaker 2] (7:51 - 7:53)

Is that why she said cute guy?

[Speaker 1] (7:53 - 7:56)

Probably. Probably. But I know Meghna from before.

[Speaker 2] (7:57 - 7:57)

How?

[Speaker 1] (8:00 - 8:09)

Common, common friends. Bangalore is small. As large as it's gotten now.

It's really small if you've been there for over 15 years. I've been there pretty much all my life.

[Speaker 5] (8:10 - 8:11)

You were born there? You worked there?

[Speaker 1] (8:11 - 9:00)

Born in Chennai, but I've been raised in Bangalore pretty much all my life. South Bangalore. Well integrated in the system.

We did engineering like everybody else. Didn't like engineering like most people. Really sucked at engineering also like most people.

80-55 is beyond me. But anyway, so through engineering college, there was always a passion for food because mom used to run a couple of clubs in kitchens and things like that. So I used to run country club if you remember.

So she used to run the club's kitchens for country club as a contractor.

[Speaker 5] (9:01 - 9:02)

Hyderabad guys own it, right?

[Speaker 2] (9:02 - 9:09)

Hyderabad guys own it, yeah. I don't know if it's there anymore. So how did you go from, where did you go to school, college?

[Speaker 1] (9:09 - 9:19)

So school, Jyoti Kendra Vidyalaya. I went to Australia to do my diploma in Culinary and Classical French Cuisine. Then you were a rich kid.

I wouldn't say rich kid.

[Speaker 2] (9:20 - 9:30)

I would say only son. I don't think poor kids are going to study culinary art in Australia. I went to Oxford Senior Secondary School in JP Nagar second phase.

[Speaker 1] (9:30 - 9:53)

Look, my dad signed for my loan, okay. I paid it back myself. He would have helped me but I still chose to pay it back on my own.

But I really wanted to do that. I got pushed into engineering. Then they said, go to work.

We don't have money for you to go for engineering. Wait, you did engineering then culinary school? I did engineering first.

I took six years to finish engineering.

[Speaker 2] (9:53 - 9:54)

And then you went to culinary school.

[Speaker 1] (9:54 - 9:56)

And then I went to culinary school when I was 24.

[Speaker 2] (9:56 - 10:00)

Thank God you're the first child. I had that. Imagine they had three, four like you.

[Speaker 1] (10:00 - 10:14)

Yeah, imagine. They would have been, man, I really troubled my parents. But yeah, so it was a thing.

I was really bad at engineering. My dad said, I'm going to get you a job. He spoke to somebody.

He got me a job at Titan.

[Speaker 2] (10:16 - 10:17)

This is sounding like a good dad.

[Speaker 1] (10:17 - 10:32)

Yeah, very sweet. Sending you to culinary school, getting you a job. Very sweet, very understanding.

Things that he didn't get, he was like, my son. What did your dad do? My dad started off as an HR, grew up the ladder in corporate.

He was working with Future Group and SR and things like that.

[Speaker 2] (10:32 - 10:34)

I thought you were going to say BBMP or politician.

[Speaker 1] (10:34 - 11:05)

No, no, no, not at all. Hardworking middle class family. It's just that they wanted the best for their son always.

Son is priority, right? It's an only son. It's a full priority.

I took a lot of advantage of that. So yeah, so I finished engineering when I joined Titan. Titan was absolutely horrible because I was also driving to Hosur every day to the Tanishq factory.

I lasted one month. I said, I'm done. You worked in the jewelry business?

No, no, no. I was in the watch manufacturing business. Right.

[Speaker 5] (11:06 - 11:07)

Which kind of failed eventually.

[Speaker 1] (11:10 - 11:33)

Fast track. I think they still manufacture. But they killed it on jewelry.

Yeah, yeah, yeah. It was a thing. It was a dead business.

I didn't have anything to do with it. I mean, I didn't even know anything. I liked it.

And yeah, during engineering, a lot of hustle in engineering, right? That's engineering life for you. A lot of hustle in engineering.

[Speaker 2] (11:33 - 11:35)

This does not sound like my version.

[Speaker 1] (11:36 - 11:39)

Did you do engineering? I didn't go to college. Fair enough.

[Speaker 2] (11:39 - 11:44)

The people I've met who did engineering in Bangalore didn't seem like they were coming from a world of hustle.

[Speaker 1] (11:44 - 11:48)

No, no, no. Engineering was full hustle because when you suck at it, you have a lot of time.

[Speaker 2] (11:49 - 11:49)

I like that.

[Speaker 1] (11:49 - 11:51)

Side hustle. A lot of side hustle.

[Speaker 2] (11:51 - 11:52)

Engineering was not the hustle.

[Speaker 1] (11:52 - 12:15)

Engineering was never the hustle. Engineering was a thing that you had to do because mom was like, f***ing go to college. But yeah, a lot of hustle.

Learned a lot. Was on the street. Picked up a lot of trades.

Used to organize a lot of parties and things like that. Made decent, I would say, side income. There was this restaurant up for sale where we, it was like, how do you say?

Adda.

[Speaker 2] (12:15 - 12:16)

Which one?

[Speaker 1] (12:16 - 12:17)

Casablanca in Bansal Creek.

[Speaker 2] (12:18 - 12:18)

I know.

[Speaker 1] (12:19 - 12:20)

I know. So I used to, I used to...

[Speaker 2] (12:20 - 12:21)

It was near that medical college, right?

[Speaker 1] (12:22 - 12:22)

Behind Kings.

[Speaker 2] (12:23 - 12:26)

Yeah. I've been there. Fish and chips and all that.

[Speaker 1] (12:26 - 12:35)

Yeah, yeah. So, so that, that, that restaurant came up for sale and we bought it because we used to go there enough. And that guy was like, I really need one and a half lakhs.

They were like, awesome man.

[Speaker 2] (12:35 - 12:48)

You used to play snooker or pool as a college going boy, right? I knew it. This is a lifestyle.

Rich father goes to Australia after engineering. Runs a restaurant. I used to be really bad at it.

Pool. Loser pays.

[Speaker 1] (12:48 - 13:27)

It was, yeah, it was a thing, right? Everybody goes play pool. I mean, I was really bad at it.

But yeah, so we bought this, we bought this coffee shop and kind of got very intrigued into the

business side of it. I was mostly in the kitchen all the time, sorting out the menu. Zomato had just launched that time.

What year? 2010, 2000, yeah, 2010, 2010 to 2000, 2009, 2010 to, yeah, 2010 to 2012 is when we own this coffee shop. When we sold it, it was amongst the top five cafes in my world.

[Speaker 2] (13:28 - 13:28)

Wow.

[Speaker 1] (13:28 - 14:00)

Yeah, that's smart. We sold it to some people that we knew who wanted to buy it. I really wanted to go to Australia to study.

We had a third partner. We had three, we were three partners. We had a third partner who passed away in an accident.

So the other two of us, we just like, it was not, it was not, it was not fun going back to work. So we sold it. It was kind of worked out because we sold it and then I could go to Australia.

So you sold the restaurant. We sold the cafe business. Came back in 2015.

We came back in 2015.

[Speaker 2] (14:00 - 14:01)

How long did you stay in Australia?

[Speaker 1] (14:01 - 14:03)

Three years, three years, worked across.

[Speaker 2] (14:04 - 14:14)

I like when people say this, you can't take the banger out of me. I love it so much and all of that. And why do you guys leave in the first place?

I had to study. There isn't a good culinary school in Bangalore. How did kombucha happen?

[Speaker 1] (14:14 - 14:33)

Okay, so I was actually not the one who started making kombucha. My partner Shishir actually started making kombucha. He was having some skin allergy and a couple of other gut related issues that he wanted to.

So somebody, a doctor said, make kombucha or kefir. And it's really good for you. And it'll like,

it'll, it'll fully sort you out.

[Speaker 2] (14:33 - 14:36)

What's kefir? This is in the malls in Dubai and all that, right?

[Speaker 1] (14:36 - 15:24)

Kefir is another probiotic beverage, milk based. Mostly like lassi. Say to say a more packed enriched probiotic lassi.

It's the best kind of probiotic if you want to consume live probiotic. That should be a go-to beverage. And yeah, so he started making kombucha.

I was in the F&B space. I was consulting for a lot of restaurants. And I used to handle a lot of kitchens and things like that.

So I actually used to buy kombucha from him. In 2019, just before the pandemic hit, I was working on a passion project that was super, super close to my heart that shut in four months. What was it?

After we opened, it was called, it was a wine and tapas bar. It was in on, you know where B-Flat was in Indrana? Yeah.

It was the floor below B-Flat. It was, it was on the first floor.

[Speaker 5] (15:24 - 15:24)

What was it called?

[Speaker 1] (15:24 - 15:29)

It was called Oat Wine and Tapas. Like Oat Kota. Not a very good name.

[Speaker 2] (15:30 - 15:32)

But B-Flat used to have great live music. Great live music.

[Speaker 1] (15:32 - 17:22)

But it used to be a nice, like a, it used to be a good scene back then. And this was on the first floor of that building. It was a 70-cabin restaurant.

Well ahead of its time. We were doing, we were, we were working with fermentation, koji and a bunch of things back then. Shut down in four months because of, they were having issues with the Indranagar Association and things like that.

It was, it was bad. It didn't, I, I mostly didn't want to be in the kitchen after that. That's when I joined Shishir.

And the intention was to always make a better soda, so to say. Not a health-friendly beverage. That was his perspective.

I joined him to say, I think there is a potential to make this super delicious. Because that was also my domain, right? To do a lot of fermentation and things was what I was really good at.

And so it kind of worked out. So in 2019, we started, like a little bit after this project, we started Mossant in October. 11th of October is when we started.

And there were two things that we were trying to solve. What is Mossant? It's nothing really.

It's just, it's just a name. How did you come up with it? So, so you remember I told you that friend who passed away?

This was the first art deco poster that he picked out for our old restaurant. It said Mossant. And this was, this was one of his favorite things.

And he also, he had a, he had, he had a very deep connection to that poster for some reason. He also, he used to always talk about it. And it was the same two of us again in this business.

It was me and Shishir back again in business. And so it just, it just made a lot of sense for us at that point to say, if he was there, he would be in, he would do this with us too. So just to, in remembrance, we have this, we call this company Mossant.

[Speaker 2] (17:22 - 17:30)

People from Bangalore are very nice. I'm not comparing. I'm just, I like Bangalore people.

Yeah. Yeah.

[Speaker 1] (17:33 - 19:12)

So, so hence, hence the name Mossant. It doesn't really mean anything. It was, it was, it was apparently a company that used to make bowler hats.

What hats? Bowler hats. Like those round hats.

The two guys in Tintin, the detectives in Tintin used to wear that hat. Yeah, yeah, yeah. It was that hat.

They apparently invented that hat. And yeah, so we started Mossant in 2019. Our biggest challenge was kombucha as, I think as a market at that time, first, nobody knew about.

Second, people, second, the some who knew about it was so divided and polarized by the product that they were like, I don't know if this beverage is for me. It's too funky. It all smells the same, whatever, whatever.

Right. I don't know if it's doing anything for me, et cetera, et cetera. That was what we wanted to break.

Right. And we really wanted to focus on the teas that were available around us. I mean, this is the land of tea.

So we wanted to do a tea focused brand. So to say, we wanted to, we wanted to showcase all the teas around that we have from Assam Darjeeling specifically the Nilgiris because those teas are super underrated. And what we thought happened to coffee is happening to coffee now, we thought would happen to tea considering this is the land of tea, but only to realize that this isn't the land of tea, this is the land of chai.

A little bit of a difference. It took us a while to sort of figure that out. But yeah, so we were, we were a tea forward company making kombucha with teas from across India.

We had two problems to solve. The biggest problem was alcohol regulation, which was you can't sell a product above 0.5% ABV.

[Speaker 2] (19:12 - 19:13)

I read that somewhere.

[Speaker 1] (19:13 - 19:13)

Yeah.

[Speaker 2] (19:13 - 19:18)

And it's different in different countries, right? It just changed in the US.

[Speaker 1] (19:18 - 19:40)

It just changed in the US to 1.2 or 1 or something like that. And that was also because of kombucha. Somebody in the kombucha business sort of raised up and lobbied and said, it's not possible for you to make a kombucha.

And it's like, it's really unfair. Apparently ripe banana has an alcohol content of 1.3, 1.4. So it makes no sense that the ripe banana is on the shelf. Really?

Yeah.

[Speaker 4] (19:40 - 19:43)

And beer has 3-4% ABV.

[Speaker 1] (19:43 - 20:03)

So it's, it's one of those things. It's like, yeah, the regulations is very, it's, it's, it's a little, it's a little strange. It's the law, right?

For you to be on the shelf, you have to be under 0.5% ABV. For you to be considered a FMCG product and not to go to excise to do business. And so that's how kombucha.

[Speaker 4] (20:04 - 20:05)

That's essentially how kombucha began.

[Speaker 2] (20:05 - 20:09)

I forgot to ask you, how big is the business now? Our business? Yeah.

[Speaker 4] (20:09 - 20:12)

We're at a 400 crore run rate.

[Speaker 2] (20:12 - 20:13)

130 out.

[Speaker 4] (20:13 - 20:15)

135. Yeah.

[Speaker 2] (20:15 - 20:18)

And mainly which part of India?

[Speaker 4] (20:18 - 21:35)

Delhi is around 40%. And 35 in Bombay. Bangalore is 12.

Pune 9. Calcutta 9. Chandigarh.

And how big is, sorry. How's Japan? Japan.

Japan, we have one cafe there. It's slow. It's a, we've been there for a year and a half.

So it started as just a roastery with a B2B and e-commerce business. Then we started doing pop-ups and we just opened the first cafe three months ago. How did Japan happen?

I'm just curious. It was more like an opportunistic thing. We had investors who used to run F&B businesses in Japan.

Japan's the second or third largest coffee consuming country. There's no Indian coffee there. Very similar to anywhere actually.

You don't really see Indian coffee on the menu outside of India. Third wave is kind of taking off. It's not as entrenched as it is in the US.

So there's an opportunity to showcase Indian coffee in a large coffee consuming market. Very cool. There's way more opportunity in India.

Rahul and I were just talking about this. Yeah, I think for all our brands. Any market that we look at, there's more opportunity here in India.

[Speaker 2] (21:36 - 21:42)

So I know Rahul quite well. So I'm going to go to him last. But Anish.

My turn. Yes.

[Speaker 4] (21:43 - 21:44)

All right. My story.

[Speaker 1] (21:45 - 21:47)

I'm a 4G kid, born and brought up.

[Speaker 2] (21:47 - 21:49)

Is that why the cap that says Bharat?

[Speaker 1] (21:49 - 27:36)

I love this cap. Like to me, I usually always wear a cap. And there's just something about India and Bharat written like that.

Like I really like it. But yeah, patriotism has always been there. I think growing up in an army background, you always are in that environment, right?

But grew up across the country. What did your dad do in the army? My dad was in ASC.

That's the Logistics Corps. In fact, he was posted twice in Bangalore. And the one year I was like, we were in Bangalore.

That was 1997. That was a great year because dad was super senior. That's the first time we were ever living in a big town, a big city.

Otherwise, it was only small towns. And there was so much access, right? You had pavilion passes to an India-Australia game and all of that stuff.

I remember I went to Frank Anthony for a year. And a runner came to our classroom, the principal's office. And the principal asked for Anish.

And I was like, damn. For once, I didn't do anything. What happened?

And it was for dad to be the chairman for sports, chief guest for a sports day or something. So Bangalore was a very cool year like that. But mostly...

So he was very senior in the army? At the end, yeah. He retired as a brigadier, took premature retirement.

I think he had another three, four years to go, but he was kind of done with it. And I grew up pretty much in small towns and cities across, right from Kashmir to Rajasthan. Apart from East, pretty much everywhere.

My 10th standard for me was very pivotal in a way that photography started to become a hobby. By 11th, I was taking a lot more pictures, having to borrow a friend's father's film camera. Took a portrait of my girlfriend that time.

That really, I think, somewhere cemented me into photography. For me, photography is that, right? You remember certain pictures or certain times.

Like right now, there's so much talk about Kumbh Mela. And I've been to Amar Kumbh before on photography assignments. And I remember distinct pictures from there.

So for me, photography has been a very integral part of my life, right from my teenage years. And by 12th, I somewhere knew that college in engineering was not for me. Again, so this is the other thing.

I did CBSE, apart from that one year of ICSE at Frank Anthony in between. But 10th science was like common sense. 11th science was...

Jump was ridiculous. And we were in army schools, like engineer, doctor, right? And arts was for people who were considered not bright or dumb or any of that.

So I'm like, yeah, we'll become engineers. We'll take PCM and English. I flunked everything apart from English in my 11th exams.

And it was a horrible thing for me. I just couldn't study. Just couldn't get myself to do math and all.

But to me, creativity and photography was something I was very happy with. So I think somewhere in my 12th standard, we moved from Bareilly to... Sorry, Ambala to Bareilly.

Dad being army, they passed me so I would not flunk a year. And in Bareilly, dad was the chairman of the army school. So his only thing was, son, please do not flunk your 12th.

Just pass. I don't expect you to top or do anything. Just pass.

And I thankfully passed. I flunked my chemistry, gave a retest, got a pass eventually. But I think that time I knew that maybe going to college was not the best idea for me.

And my dad had that foresight as well. My mom was a little on the line. She was like, no, you have to go to college.

And my dad was like, no, you do what you want to do. I think you'll be fine in life. So I didn't go to college.

My education was 12th CBSE from Bareilly Army School. And right after that, I started working with three photographers in Bareilly. So I gave my 12 boards, took one day off, started working the next day at this place called Suri Photo Labs.

They actually had a pretty world-class setup for that time. So just started working and learned a lot about photography that time. Eventually moved to Bombay in a year to learn photography here and started assisting and getting work and starting off.

So photography became my thing after school, hobby turned profession. Then I somewhere got introduced to wine and alcohol because of photography. So I shot a lot for Diageo and a couple of alcohol brands and eventually got commissioned to shoot for a book on the alcohol industry, CIABC, which is the main lobby, main body that all the companies are a part of.

So that assignment took me to pretty much every winery in Nasik. Everyone would oblige you with the wine tasting. I had no clue what I was doing, but being polite and tasting.

And somewhere that just got me into consuming a beverage with a little more intent rather than just gulping it down. That's the same time I got introduced to coffee. I still remember first trip abroad.

I was 21 going for a photography fair to Cologne in Germany and having my first cup of cappuccino, which was not that Indian cappuccino, which was that espresso in a wedding that we get. I still remember that moment. So a lot of these beverage experiences happened.

And I was like, you know what, this is very interesting. I want to learn more. So I started learning more about wines.

Ended up building an app around wines six, seven, eight years back. We almost got acquired by Diageo London. Eventually, that didn't happen.

But that is what really got me into beverages. So school, photography, photography led me to beverages. And then all of this happened.

[Speaker 2] (27:37 - 27:39)

Very cool. Rahul.

[Speaker 3] (27:40 - 27:42)

Hello. How are you?

[Speaker 2] (27:42 - 27:43)

Good. How are you?

[Speaker 3] (27:44 - 27:45)

I wish I had your sense of humor.

[Speaker 2] (27:47 - 27:51)

I have the kind of sense of humor where it's easier to laugh at me than...

[Speaker 3] (27:51 - 27:54)

I can't keep that in mind. Awesome.

[Speaker 2] (27:54 - 28:03)

Tell us more about yourself. I met Rahul last week in Dubai, where he's starting a new store. And I checked it out.

[Speaker 3] (28:04 - 28:15)

Amazing. Quite a cool space. True.

It's a work in progress. Well, I actually have some similarities to Matt in terms of our backgrounds.

[Speaker 2] (28:15 - 28:16)

I was thinking that, you know.

[Speaker 3] (28:17 - 28:17)

Yeah.

[Speaker 2] (28:17 - 28:22)

Like these two are full-blown creative people. You and Matt look more like the corporate type.

[Speaker 3] (28:23 - 28:24)

Hedge fund, nerdy.

[Speaker 2] (28:24 - 28:30)

I know you went to college in the US. Not because you, you know, wanted to study how to cook. But like college, college.

[Speaker 3] (28:31 - 28:32)

So I grew up in the US.

[Speaker 2] (28:32 - 28:32)

Yeah.

[Speaker 3] (28:33 - 28:55)

Like Matt. Never worked in finance. But we do have some overlaps.

Okay. So my family's all from Hyderabad. So mom and dad side.

I guess one side's from Andhra now. One side's from Telangana originally. But that's another thing.

But Hyderabadi, both.

[Speaker 2] (28:56 - 28:58)

What did your dad do? I remember meeting him.

[Speaker 3] (28:59 - 30:33)

Yes. So basically, my dad migrated to the States, I think it was 1979. And he was part of that, I think, like initial wave of engineers pre-Valley Boom.

And, you know, pre sort of internet era and the dot-com era. And he went from, I mean, the story goes, he went from Hyderabad to Iowa. Which is, I don't think you could find a more opposite, you know, environment, right?

Like cornfields and 10 feet of snow. And, you know, and I think it was like him and like some, like a bunch of people from Hyderabad and Punjab and like Iran. And there was like this group of like, you know, brown people basically that showed up to become like, do doubly at the time, like electrical engineering in Iowa.

So he, I don't think he was a particularly good engineer, but he was fairly entrepreneurial in spirit. So he graduated and then he moved to California. And I guess there was a lot of buzz about like semiconductors and things at the time.

And so he sort of, you know, he ended up working at this company called Synopsys at one point. Semiconductors and got into that semiconductor space. And then that's sort of like, so he's become sort of like a serial entrepreneur for the last 30 odd years now, been in the valley.

And that's where I was born. So I was born in the heart of the valley, actually a place called Fremont, not too far from San Francisco.

[Speaker 2] (30:35 - 30:47)

How does it feel to people like you and Matt who've gone to school in America? You don't have the same outlook of India as us kids who were born here, right? How do you see it differently?

[Speaker 3] (30:48 - 31:24)

Oh, so different. And I think I'll let Matt speak for himself, but for me, that's definitely part of the fabric of what ended up becoming this idea called Subco. For me, it was, it was always like a grappling with being this diaspora kid who was part of this South Asian community.

And I was, to be fair, I was in a city in a region with a lot of Indians and a lot of South Asians. So there was a nice kind of contingent from like all over India and in neighboring countries as well.

[Speaker 2] (31:24 - 31:50)

When you're not Indian and you're growing up in a white school, I don't know, Iowa, whichever school you were going to when you were a teenager, are you wishing you were an American from a very psychological perspective to want to fit in? Do you get bullied more if you're an Indian kid? Matt doesn't look Indian.

No, no, I agree, I agree. Just when he starts speaking, we get to know. I grew up in like a very, like a village.

[Speaker 4] (31:50 - 31:53)

So anybody who's not fully white is considered not white.

[Speaker 3] (31:53 - 32:13)

So are they racist if you're like? Yeah, you know, I think, I think it was always, it was an evolution, Nikhil. Like I think starting off, yes, there was a lot of, hey, why can't I be part of that sort of majoritarian fabric of where this is and, you know, always feeling slightly ashamed at times and slightly.

How does it come across?

[Speaker 2] (32:14 - 32:15)

You feel ashamed when they do what?

[Speaker 3] (32:16 - 32:28)

I think initially it's like little things. It's like your mom wants to pack you some Indian food for lunch, right? And they're like, I love it, but it smells a little strong, right?

Like people around you are like reacting to it. Like, okay.

[Speaker 2] (32:28 - 32:29)

And when you say reacting, what are they doing?

[Speaker 3] (32:30 - 33:44)

I mean, it's like, what is that? And they have this like terrible food that they're eating, right? Like some like terrible, like white bread sandwich or something.

And like, you know, that's one visceral reaction. Or when your parents come to pick you up and, you know, their accent's a little different, right? Their accent, Desi accent and whatever.

And no matter how long they live there, your accent stays, right? Typically. And so, you know, stuff like that.

So I think a little bit of shame initially. I mean, I think there's like two camps. Like people then try to overcompensate and then sort of become like, hey, you know what?

I'm brown, but like, I'm not really brown. I'm like more of like a coconut, right? So like brown on the outside, white on the inside.

There's people that kind of like aspire to be a coconut, right? And I'm like, okay, you do you. That was never me.

And I think the turning point for me was we, my dad at one point, just before the whole Y2K fiasco, my dad, 97 to 2000. Here's my Bangalore connection. I moved to Bangalore.

So I was going, so throughout my childhood, I, we would go to Hyderabad every single summer.

My, my Amma Ma, my Tata, my grandparents, they were all there still. Like half my family was still in India.

So we actually like compared to a lot of people I grew up with.

[Speaker 2] (33:44 - 34:23)

Is it strange? Because when you come back to Hyderabad, I have an aunt, okay? We used to go to the US.

Who lived in the US all her life. She's still there actually. Each time she came back, she got us like, you know, these toys and chocolates that people didn't have access to.

Invariably, we had this perception that she is this superior being almost. But to feel that way when you're in Hyderabad, but you go back to the US and your Indian origin friends are trying to be a coconut. It's a dichotomy, right?

Here you're feeling superior. There you're feeling inferior.

[Speaker 3] (34:23 - 34:23)

Totally.

[Speaker 2] (34:24 - 34:26)

So do you like being here more because of that?

[Speaker 3] (34:27 - 39:23)

You, I think, I think for me, the story ended up being embracing my roots while also understanding that I would, I would never, I would never be, I would always be neither here nor there. But that I had such strong roots to lean on and that I wanted to make a contribution back to where my roots were. And so that's why I sort of ended up later in my life as an adult gravitating towards moving here, moving back here.

But, but yeah, I think it is, and this is, I'm kind of jumping around in the story, but in later on in my life, I think what I always wondered was with all of the little bit of the jibes and, you know, I think being Indian or being South Asian went through phases. So first it was just kind of lame and just very much not cool. Then sort of the valley happened and the valley was like a lot of brown people and they were like killing it.

Right. So then it was like, okay, you guys are just like nerdy and you guys go to Harvard and you guys go to Stanford and you're all like engineers and doctors. And, and that, that was like another layer of pressure on me because I was like, shit, like, I don't think I can do this.

I'm not wired quite that way. I was much more into the humanities and like IR and like political economy and stuff like that. And so I think from that evolution, it ended up becoming, hey, well, you know, can I study international affairs?

And can I find a way to take my, my sort of South Asian background combined with, you know, sort of some of the privileges I had growing up in the States and build something to kind of like reimagine and reframe what sort of a global Indian experience would look like and feel like, and be like. It was very vague at that point. It was just that.

And I think when that came to becoming a product, it came to kind of what we're doing now. But, but yeah, but essentially moved to Bangalore. We moved back to the Valley.

I did, I finished my high school in California. And I think those three years in Bangalore were very impactful because we lived in this place called Dollar's Colony. And I went to this like international school and a bunch of fun pictures of me in my uniform.

And, but I always laugh at it because we didn't have uniforms in the U.S. typically, right? So here I was like buttoned up and uniformed and very formal. And then I go back there and I was like wearing shorts and it's like two very different lives.

But when I was in Bangalore, I think that's when I learned Hindi. I started understanding and speaking Telugu. Never learned Kannada, unfortunately.

But I think that's when I sort of started like cementing my relationship as an Indian as well. And so I think that ended up playing a very different role in my life compared to a lot of the people I grew up with who never quite had that level of linkage. And so till today, a lot of people back in the States that I might've grown up with are like, they've always been like surprised as to why, you know, I relocated and moved to Bombay and all of that.

So, but essentially I went to do my bachelor's in Los Angeles and I studied a mix of international relations. And I did a minor in sort of global marketing and I did another minor in French. So I lived in Paris for a while, studied there, came back.

And then the next decade of my life was spent between, mainly between New York and London. And funnily enough, the very weird like post-colonial way, it was in London where I think there was this like additional enhancement of what it meant to be sort of like a global Indian, just because of the sheer amount of impact that that diasporic community ends up having in the UK's fabric. And I think a lot of that, I was studying international development in my master's there and started to get interested in various parts of the agricultural economy in India.

And I think throughout this period of time, like when I was in New York and in London, I'd gotten a little obsessive about specialty coffee. And I think it started off as just like habitual. And then I felt like I had a decent palate maybe.

And so I started like doing geeky things, like analyzing like the tasting notes in the coffee and stuff like that. But the thing that really stood out to me was, specialty coffee was positioning and marketing itself from an industry perspective with this whole idea of traceable farms and talking about the global South very openly and vividly.

[Speaker 2] (39:23 - 40:19)

Can I ask you a question before you move on to the story of coffee? Sure. I think personally that passion and talent are two forms of the same word.

We often think passion or talent are inputs. Like if you're passionate about coffee, you get into coffee and then you realize you're talented and you have a good outcome. I feel like passion and talent are more outputs than input.

When you're better at something, when you feel good doing something, you feel like you're passionate about it and then you inherently develop a talent and then you continue to do it. Do you think you moved back to India and thrived because you felt that people around you treated you better and you didn't have to deal with the nonsense of growing up in the US? Is that why you moved?

[Speaker 3] (40:20 - 40:53)

No. I think in a weird way, if anything, I moved because the whole reasoning behind the business also started as to the motivation. It was really to kind of prove a little bit of a point maybe that one could build something world-class in India and if one was good enough at that, could actually make it something relevant on the global stage.

I think that was a very powerful sort of like motivator for me, but it had to be rooted very deeply here. Why? Because...

[Speaker 2] (40:53 - 40:56)

Because you grew up in the US. You're as American as you're Indian then.

[Speaker 3] (40:56 - 40:57)

That's true. That's true.

[Speaker 2] (40:57 - 41:02)

So why not build something in the US which satisfies all of the conditions you mentioned?

[Speaker 3] (41:03 - 41:16)

Because I think in what ended up being our industry, coffee, chocolate, bakes, I think the raw

material is the most important element. We're really an agriculture business. We're a supply chain business.

[Speaker 2] (41:16 - 41:21)

India is not particularly known for its coffee historically, right? It's not. Then why India?

[Speaker 3] (41:21 - 41:34)

Well, it's anywhere between the fifth and seventh largest producer of coffee in the world despite not being known for it. So I think the underdog story and the chip on the shoulder are the two ways that I kind of refer to this.

[Speaker 2] (41:34 - 41:35)

Chip on the shoulder, why?

[Speaker 3] (41:36 - 42:40)

Because as Matt said earlier, I mean, people were growing X number of metric tons of coffee here, but they all presumed that the only market for it had to be an export and Matt opened up the opportunity for entrepreneurs like myself to even fathom the idea of domestic consumption. And I think what we wanted to then do is, in a lot of ways, building on top of what Matt already created, was how does this now become a cultural symbol and something of real cultural currency from a creative perspective as well? And how does that sort of play a role in a lot of the coffee brands and projects that are being fomented in a lot of the global cities around the world?

And I feel like doing that in the West feels a bit false. It feels a bit dishonest if you kind of do it there without actually committing to the soil, to the land, to actually having real relationships with the producers, with the farmers and establishing it here. I think that was very critical for that credibility to be there.

So I think that was a big reason.

[Speaker 2] (42:40 - 42:48)

How is Sapko and Blue Tukai different? Oh, that's a fun one. Same price point, largely?

No way.

[Speaker 4] (42:49 - 44:09)

He's way more expensive. What else? I think similar on the coffee side.

I mean, so one is they obviously do more other products. They do cocoa, which we don't do. We didn't have bakery, our own bakery, until fairly recently.

And that was by acquiring another brand. So that's the difference. Coffee side, I think sourcing is fairly similar.

I think we work with some of the same estates. Roasting, we have, you know, they have their philosophy. We have our philosophy.

Even if we source the same lots of coffee, it'll be different for an end customer. We, I would say, are more mass premium. They're more niche premium.

I think the customers are slightly, I mean, I would say we're more, we try to be more accessible. Basically calling them expensive. No, no, no, I don't think, I think that what I really appreciate about Sapko is they've done things in a very distinct and different way.

The communication that they have, the storytelling that they do, the whole brand is very different than other coffee brands that have started in specialty.

[Speaker 1] (44:09 - 45:21)

I have an observation for both these brands because I've been, I've had the privilege to see Blue Tokai from day one. I think I was one of their very early customers. And just to take you back in time, there was nothing speciality in the country that time.

There was only Cafe Coffee Day in Barista and that's about it. No concept of brewing good coffee at home or any of that. And I think with Blue Tokai, you start in a certain way, not knowing how things are going to pan out.

So you don't have a very defined brand identity, tone of language, your brand book is not developed, right? You're just trying things out as you grow. And what I've seen with you is that, I think you're one of those brands that has come out from day one with such a well-constructed world for your brand, which is very commendable.

With that, you don't see that often that you launch with everything sorted in your packaging, how your brand puts out content, to how you serve a dish, and you nail it from day one. So I think to me, that's a difference between two brands. But it's also how you guys have started in a very different year of how coffee was.

[Speaker 2] (45:21 - 45:27)

What else, Rahul? You want to say something about niche and mass niche?

[Speaker 3] (45:29 - 47:54)

Look, I think Blue Tokai has changed the palette of coffee consumption in India. And that's, I mean, without that having happened, Subco wouldn't have had a shot, to be honest. So, and

that's not just because Matt's sitting here, I genuinely believe that.

I think we're different in a couple key ways. Like Matt said, we started off as being like, okay, we're going to try to, the way we can premiumize this segment was we felt we had to provide value addition on top of something Matt was already doing well. So I think he was serving a much better cup of coffee in a much better environment than it existed earlier.

And we said, okay, so let's try our best to produce, to source the best coffee we can, roast it the best way we can. But then two key things that had to differentiate us further were building a very deep commitment to what a global Indic design language may look like, and baking in conjunction with roasting coffee. And to me, that was the next step, because if we wanted to really justify a higher price point and a more experiential sort of coffee brand, I felt that what pairs really well with it are really world-class baked goods.

And I wanted to kind of bring both of those two things together and try to construct that in unison. So I think the design language and then having the bakehouse kind of like be co-created with the high quality coffee, I think was important. So I think that's the difference.

We do tend to kind of be maybe like bullheadedly committed to this idea of design and coffee coexisting. So we try to like, even from like micro lot of coffee to micro lot of coffee will change an element of the design or the packaging. And I think these are things that perhaps have helped us gain some support with folks that are more in the creative industries or in the entertainment sphere or in the arts industries.

And I think maybe that's something that we've had maybe more of a focus on than maybe Uttarakayas. So those are a few differences, I would say. And now recently we make chocolate.

So I think that's something that Matt doesn't currently do.

[Speaker 2] (47:54 - 48:24)

So I'm a 25 year old boy or girl who wants to enter the coffee industry and compete with you guys. I walk into Bandra. There is a blue tukai.

Next to it, there's a sabko. The third store right adjacent to both of you, let's say on the same lane as Bhuji Cafe is me. What can I do today that will work?

At what price point? That will send some of your traffic to me?

[Speaker 4] (48:25 - 48:40)

I think you should be a multi-roaster cafe. So now there's many other coffee companies around. If you're a place that I can go to where I can get coffee from a roaster A, B, C, and I can choose and figure out what I like, I think that would be a good differentiator.

[Speaker 2] (48:41 - 48:46)

Do you think my audience cares that much where the coffee is roasted?

[Speaker 4] (48:46 - 49:00)

They just want something different. So if you come to blue tukai, you're only going to get blue tukai coffees. If you go to sabko, you're only going to get sabko coffees where it's a good opportunity for people to sort of understand what else is out there.

And I think people appreciate variety.

[Speaker 2] (49:01 - 49:49)

If I were to be honest, like I'm no big coffee aficionado or something like that, but I know like a good coffee from a bad coffee, but beyond a point, I can't distinguish which roaster, what, all of that. Me, 25 years old, starting a store in Pali Hill Bandra will make the assumption that my clientele is largely like me. It's not multi-roastery that will necessarily, like I could tell some of the people we play paddle with that this particular coffee shop has different roast from different places, but it is next to a sabko, a blue tukai, a booji or whatever else is on that road.

I don't think I'll be able to draw them in with just that.

[Speaker 4] (49:49 - 50:05)

So I think that's just a way to differentiate the offering. I think food is unfortunately something that's very, I mean, I say this as a coffee person, food is something that really makes or breaks the success of the store. For sure.

[Speaker 2] (50:06 - 50:10)

What if he decides to sell biryani and coffee? Do you think something like that could work?

[Speaker 4] (50:11 - 50:52)

No, it's too dissonant. People who are going to coffee shops are not looking for biryani. That being said, there are coffee shops where coffee is only a small part of the sales, where they have an extensive menu and those do incredibly well.

Like a co-working space or such. So one thing that we notice in our business is that if we extend the menu, it increases the sales. So the wider variety of food items that you have, the more you're able to sell.

Operationally, it just is very challenging to, I mean, we don't want to run kitchens. So if you're able to run a restaurant and have coffee in the market right now, that's a good feeling.

[Speaker 2] (50:52 - 50:53)

Should we sell both food and coffee?

[Speaker 4] (50:53 - 50:54)

Yeah. Okay.

[Speaker 2] (50:54 - 50:56)

What's that percentage split?

[Speaker 4] (50:56 - 51:04)

For us, we sell 45% is beverages and 40% is food and then 15% is the retail packets and bread.

[Speaker 2] (51:05 - 51:06)

And for you, Rahul?

[Speaker 3] (51:06 - 51:09)

We're almost exactly at 50-50, believe it or not.

[Speaker 2] (51:09 - 51:09)

Yeah?

[Speaker 3] (51:09 - 51:15)

Yeah. Like we've had quarters where there's a 45-55, you know, it's, yeah.

[Speaker 2] (51:16 - 51:20)

So coffee shops are actually making 50% of revenue from food?

[Speaker 5] (51:20 - 51:21)

Yeah.

[Speaker 2] (51:21 - 51:24)

All coffee shops? If you both are, I'm extrapolating.

[Speaker 4] (51:25 - 51:41)

I think that's probably. But so also we have a more, I mean, theirs is definitely very differentiated, but even for us, we have a more differentiated food offering than let's say a Starbucks or a Costa

where they're just getting food from like a Taj Satz and then just reheating it.

[Speaker 2] (51:41 - 51:43)

So do you have like a hot kitchen in the coffee shop?

[Speaker 4] (51:43 - 51:52)

We used to, we don't have a hot kitchen. We have a central kitchen and then we have a make line. So it's freshly assembled and prepared, but it comes centrally from our central kitchens.

[Speaker 2] (51:53 - 52:00)

Is that a big differentiator? That if you had a hot kitchen, you could draw in some, you have a hot kitchen. Does that make a big difference in getting people in the door?

[Speaker 4] (52:01 - 52:03)

It helps in getting higher APCs for sure.

[Speaker 2] (52:03 - 52:04)

What is the APC?

[Speaker 4] (52:05 - 52:07)

Average per person. Average check per person.

[Speaker 2] (52:08 - 52:13)

But the CAPEX related to a hot kitchen kind of mitigates. It's not necessarily a CAPEX thing.

[Speaker 4] (52:13 - 52:26)

It's more of a managing a kitchen staff. Also, you're not really able to get very high quality. I mean, our experience, not able to get high quality kitchen talent because people who are very talented, they don't want to work at a coffee shop.

They want to work at a restaurant.

[Speaker 1] (52:26 - 52:29)

I also feel like it's a matter of iteration, right?

[Speaker 4] (52:29 - 52:36)

There's like, there's way too much iteration in the kitchen these days. Yeah, you'll have a hard

time retaining talent.

[Speaker 1] (52:36 - 52:47)

Biggest reason why food is not consistent in most places. Right. Because there's just way too much iterations happening between the staff and the kitchen.

It's just, it's a...

[Speaker 2] (52:47 - 52:58)

Do people care about that so much? Consistency of food? Like when I go into a restaurant, I often hear people talking about consistency in how the meal tasted today versus yesterday.

[Speaker 1] (52:59 - 53:18)

I mean, if you're going to a place with an expectation, then it matters a lot. If you're going with, if you're going for the first time, I mean, there's no really precursor to how the food was. But if you're going with an expectation that, okay, I came the other day, the sandwich was like this.

I'm coming back here. It isn't the same. What's the deal?

[Speaker 4] (53:18 - 53:26)

Actually, ours is a very repeat business too. So people are coming for the same thing regularly and they notice if there's small changes, whether it's in the coffee or the food.

[Speaker 2] (53:26 - 53:33)

Okay, so if I'm starting... Okay, also guys, ask each other questions. Ask me questions.

This is a conversation between all of us.

[Speaker 3] (53:33 - 53:35)

Can I give you an answer to the 25 year old?

[Speaker 5] (53:36 - 53:36)

Yeah.

[Speaker 3] (53:36 - 54:06)

So it's a little different because I think Matt's made a ton of valid points. I tell that person, definitely manage your sourcing and who you want to source from for the coffee and all of that. Definitely important.

What kind of association do you want to portray, whether it be, hey, we work with Lutokai, we work with Subco or whoever. But I would say you have to have a key focus on shit that has nothing to do with coffee or food.

[Speaker 2] (54:06 - 54:06)

Like?

[Speaker 3] (54:08 - 55:31)

Like, we do vinyl. We do vinyl records. You come here as a space to indulge in some kind of a subcultural activity.

And having a subcultural association, I think is a really key element today. So the way the curve works in my brain is as a country or a city's coffee culture gets more mature, the standard that people expect is already high. So the differentiation factor becomes less and less to some extent about, like, after you show that you have a certain standard, you're like, okay, I source from a good coffee roaster.

Sorted. Okay, I have something to eat that's tasty enough. Sorted.

What else? And that is the ever-escalating sort of matrix of competition increasing, differentiation required. Can differentiation only be achieved through the quality of the roast or the food?

I tend to think not. So my thesis is whatever your thing may be, like maybe our thing is being obsessive about graphic design. But someone else's thing could be, we have a cigar lounge in the back, and that's what we do.

And you get bomb Cuban cigars here, and you get, you know, a good cup of coffee, right? Or we spin vinyl. Or we give investment advice.

[Speaker 2] (55:31 - 55:32)

You spin vinyl at Sabko?

[Speaker 3] (55:33 - 55:37)

We've done it, like, on a recurring basis, but we don't, yeah, we don't have it as a core element.

[Speaker 2] (55:37 - 55:38)

You're saying the drama element of it.

[Speaker 3] (55:38 - 55:39)

I guess you could call it that.

[Speaker 1] (55:40 - 55:46)

I would say drama. Yeah, I just remembered. I played once.

Record store day.

[Speaker 5] (55:46 - 55:46)

That was a while ago.

[Speaker 1] (55:47 - 55:53)

You're a DJ also? No, but I like... Adding to the bubble.

But I like vinyl. So I have a decent vinyl collection now.

[Speaker 5] (55:53 - 55:54)

Yeah.

[Speaker 3] (55:54 - 56:03)

But Nikhil, to this point, right, like, I don't know how much you've seen of this, but there are literally, like, there's a lot of virality right now on various social media on, you know, coffee raves, right?

[Speaker 5] (56:03 - 56:04)

Yeah, yeah.

[Speaker 3] (56:04 - 56:38)

And I think there's two points to that. One is, okay, this whole, you know, is Gen Z drinking as much? And are they just happy going to coffee shops and having raves and drinking kombucha or tonic and, you know, some kind of sober drink?

That seems to be definitely a lot of data pointing towards that. But I think it's also... If coffee shops are occupying the cultural space and having the cultural capital now that maybe bars at one point dominated.

[Speaker 1] (56:38 - 56:38)

Yeah.

[Speaker 3] (56:38 - 56:50)

Then naturally you need to create... You need to be more creative. You have to.

Having good coffee and good training is... And even good food is going to become the bare minimum.

[Speaker 2] (56:50 - 57:20)

One of the reasons why we wanted to do this episode is there is, like, a lot of data today that suggests younger people are veening away from nightclubs and alcohol. Like, a 15-year-old today in three years is much more likely to spend time in a coffee shop versus a nightclub and spend more of his money there. So all of this becomes more relevant.

What else? Food can be a big draw.

[Speaker 1] (57:21 - 57:43)

How much importance do you give to sourcing? I know you guys are, like, very specific about sourcing which estate and this. But how does a 25-year-old essentially get in touch with the estate?

Make sure that they have lots enough to give this person? Considering most of it gets auctioned off, if I'm not wrong?

[Speaker 5] (57:44 - 57:45)

Much earlier? No? Okay.

[Speaker 4] (57:45 - 57:52)

But I don't think the average customer... I mean, it's to your point. The average customer walking into a cafe doesn't care that this coffee comes from the estate.

[Speaker 1] (57:52 - 57:59)

For the guy who's opening the coffee shop, how does he go looking for beans? Like, where does...

[Speaker 4] (58:01 - 58:07)

Most coffee companies have a wholesale business. If I were to open a shop, I can buy coffee from Bluetooth?

[Speaker 3] (58:07 - 59:32)

Okay. So can I say something? Like, the way I see this, Nikhil, is, again, coming back to this sort of the maturation, at least from the coffee perspective, of the specialty coffee market, I think the...

I'm going to go into this, like, wave discussion, right? So there's this literature that talks about the

waves of coffee, right? The first wave, the second wave, the third wave, and now there's, like, fourth and fifth wave.

And so let's say we're now in, like, very firmly in this third wave of coffee movement now, where, like, specialty coffee is permeating the market, right? Now, within that third wave, I feel like there's multiple layers. There's multiple more waves.

So the first wave, but then the third wave is probably when a brand like Bluetooth Guy comes and, like, disrupts that market, right? Like, all of these big international players are now like, whoa, there's a homegrown brand that can do this, that can scale good coffee, sources everything domestically, has beautiful cafe spaces, amazing. What I think you see globally, what happens is that then you'll have a population of different roasters.

Roasters are also doing what you said, which is sourcing from farms, roasting their own beans. Then they'll start doing some wholesale. Now, I think the point at which India has to now go is, like, everybody doesn't need to be a roaster.

It's very capital intensive. It takes a lot of quality control. I mean, you have to build very strong supply chain linkages.

If that's your passion, do it.

[Speaker 2] (59:32 - 59:41)

How much money does it take? Like, if I'm 25 and I have 2 crore rupees to start a coffee shop, roastery is not covered in that, no. Tough.

[Speaker 4] (59:42 - 59:47)

But also, as a 25-year-old, are you starting this business to just run this one outlet to earn that money from that?

[Speaker 2] (59:47 - 59:53)

Or you're starting it to kind of become... I want to start one coffee shop next to the two of you and I want to make money.

[Speaker 4] (59:53 - 1:00:00)

Okay. You're not worried about funding, like, raising the capital and giving the exit and all of that?

[Speaker 2] (1:00:00 - 1:00:02)

I have this rich uncle who's agreed to give me 2 crores.

[Speaker 4] (1:00:02 - 1:00:04)

And he's happy if you just pay him back on your own time?

[Speaker 2] (1:00:04 - 1:00:08)

If I make him a decent return on the cash he's given me. I see. Yeah.

[Speaker 3] (1:00:09 - 1:00:56)

Yeah, but, like, what I would say is, like, as the market is maturing now and there are a certain collection of coffee roasters who hopefully all, you know, have their own little areas of differentiation, for coffee shops to now proliferate, right? In the way Nikhil's describing where it's like, you know... The way I would love to see India go is that every city, every neighborhood has, like, dozens of local coffee shops, right?

And you will also still have maybe literally a dozen great roasters in the country that have their own shops and also maybe supply. And I think, you know, so the more of these local, smaller scale shops that open, they can, you know, choose the roaster that they want to work with or multiple.

[Speaker 5] (1:00:57 - 1:00:57)

Yeah.

[Speaker 3] (1:00:57 - 1:01:18)

And they have to have other differentiations. They have to have some kind of a conceptual arc. Like, could there be a coffee shop that's built for the investor community?

I don't know, right? Maybe that's a coffee concept right there, right? Or, you know, I don't know, like a mini paddle coffee shop, like literally like an indoor paddle only coffee shop.

[Speaker 2] (1:01:18 - 1:01:19)

You think that could work?

[Speaker 3] (1:01:19 - 1:01:22)

100%. It would work.

[Speaker 2] (1:01:22 - 1:01:25)

Paddle and coffee? I have a slightly different view.

[Speaker 1] (1:01:25 - 1:01:38)

In fact, I have a question for all three of you. Sorry, because you're not that much in Bombay. What does a bhuji do that they are packed all the time?

Monday morning, eight o'clock, they're packed. What is it?

[Speaker 2] (1:01:38 - 1:01:44)

I feel like if you see a line somewhere, the line kind of is like a self-fulfilling prophecy almost.

[Speaker 1] (1:01:45 - 1:01:53)

And it's been like that consistently. I love the place. But when we talk about these differentiators, there's nothing, it's good food, it's good coffee.

[Speaker 4] (1:01:53 - 1:02:00)

There's nothing more to that than that. But I think we're at a stage of the market where that's almost sufficient. That's sufficient still.

[Speaker 5] (1:02:00 - 1:02:00)

Correct.

[Speaker 4] (1:02:01 - 1:02:14)

So it's good. And I would say the other thing they have going for them is a good price point. Very good price.

It's not very expensive. It's not too cheap. So that's it.

Good coffee, good food, good atmosphere at a decent price point.

[Speaker 2] (1:02:15 - 1:04:43)

They have, like there's this one thing I eat everywhere. Wherever I go, I'm eating avocado toast and eggs. They have decent avocado toast and eggs.

I feel like just that one hero dish changes so much. For someone like me who eats that, I don't eat breakfast during the week. On weekends, I eat breakfast.

And it's always just that. Yeah. So roastery, no, doesn't apply to someone like me.

What does coffee have going for it? The way, when I think of coffee, I wasn't a big coffee drinker up until maybe three or four years ago. I'll tell you why I switched to coffee.

I consumed content, A, which said black coffee is healthy, from people like Peter Attia and

Huberman and all of these people. I see on social media. And B, I realized it kind of mitigates my hunger pang for a certain period of time.

Like today, when I wake up in the morning, I have a coffee at 9 a.m. I'm hooked to it or 8.30 a.m. And that leaves me feeling satiated up until 11, 12, all the way up until I eat lunch at maybe 1.32. The third thing that I think coffee really has going for it is it's a high. It's the only legal, societally accepted high where you can sit with your grandmother and share a cup, even in the Indian subculture. And it's a high that we've all kind of accepted.

These are three really big things which are going for coffee. Do you think if I make my proposition as a 25-year-old, societally acceptable high, kills hunger pang, kind of healthy, not because I'm saying it, but people who have a lot of relevance in the field of health are saying it, that in itself should be so much. But when I look at the coffee industry in India, it's not that big, especially the craft coffee segment.

Do you guys want to talk about how big the market is? I tried to research online. I didn't get to a number.

I got wide approximations, but I didn't figure out how much is the number. If I'm selling a coffee for more than 100 rupees and people are buying, how big is that market in India?

[Speaker 4] (1:04:43 - 1:04:59)

There's only around 5,000 branded coffee shops and another equivalent amount of unbranded. And what would that number be in terms of net sales? Net sales, it's around a billion is what they ask.

There are 5,000 branded coffee shops? Damn, I didn't know that.

[Speaker 1] (1:05:00 - 1:05:19)

But you know on the coffee bit, a lot of people who consume coffee, according to me, are having a coffee beverage and not just coffee. Because if you're going into a Starbucks and ordering a mocha latte with a red velvet foam on top of a pumpkin spice something, how much of it is coffee versus sugar?

[Speaker 4] (1:05:20 - 1:05:24)

I think very few people are coming for the reasons that you mentioned, the health aspect, killing hunger.

[Speaker 2] (1:05:24 - 1:05:25)

Is that just me?

[Speaker 4] (1:05:26 - 1:05:27)

That's us paddle people.

[Speaker 2] (1:05:27 - 1:05:28)

Yeah?

[Speaker 4] (1:05:28 - 1:05:30)

That bubble? Yeah.

[Speaker 2] (1:05:30 - 1:05:32)

So most people are coming in for what?

[Speaker 4] (1:05:32 - 1:05:54)

A place that they can sit, that has something enjoyable to drink. It's not, and so you'll segregate versus like, I like an atmosphere in this place or I like the products in this place, but it's not for any functional... And I think the other thing is that it has a...

But there is caffeine. You think?

[Speaker 5] (1:05:54 - 1:05:55)

There is caffeine.

[Speaker 3] (1:05:56 - 1:05:58)

When I say...

[Speaker 4] (1:05:58 - 1:05:59)

But you think that's a driver for people?

[Speaker 5] (1:05:59 - 1:06:00)

I mean, I think it's addictive.

[Speaker 3] (1:06:00 - 1:06:33)

So one is it's addictive. I think it's a driver only from the lens of like, you're having a meeting, okay? What do you socialize or meet or speak over?

It's not a coincidence that you're drinking coffee while having to have your energy be intact, right? So I think from that like correlational point of view, whether you're like co-working quote unquote

on your own or running a meeting with someone, I don't think it's a coincidence that you're probably going to drink coffee and not like a very heavy, sugary, milky chai. From that perspective.

[Speaker 2] (1:06:34 - 1:06:59)

Can I ask you a layman question? As somebody who has no knowledge about coffee, like idiot question. If I started a coffee shop, let's say you have 100 milligrams of caffeine in your coffee and you have 110 or whatever.

What happens if me, the 25 year old starts a shop next to you and puts 350 milligrams of caffeine? Wouldn't it be more addictive? It would.

It would also get you really hopped up, I feel.

[Speaker 3] (1:07:00 - 1:07:01)

Yeah, could go down.

[Speaker 2] (1:07:02 - 1:07:05)

The thing is it won't taste very good though. Does it affect the taste of coffee?

[Speaker 4] (1:07:06 - 1:07:19)

Well, I mean, so you would have to put in a ton of arabica, which is the higher quality, better tasting coffee to get 3x the, I mean, you'd have to do 3x the dose or you'd have to switch to Robusta, which doesn't taste as good.

[Speaker 2] (1:07:19 - 1:07:22)

Right. But is this something you guys have experimented with?

[Speaker 3] (1:07:23 - 1:07:29)

We've never looked at caffeine, like, we've never looked at caffeine levels as a draw or a driver as such.

[Speaker 2] (1:07:30 - 1:07:34)

Like you don't have regulation like him. He can't have more than half a percent of alcohol in his kombucha.

[Speaker 3] (1:07:34 - 1:07:35)

No, there's no caffeine regulation.

[Speaker 2] (1:07:36 - 1:07:38)

You can put like a thousand milligrams if you like.

[Speaker 3] (1:07:38 - 1:07:39)

Yeah. Theoretically, yeah.

[Speaker 2] (1:07:39 - 1:07:48)

And then have a rave party, which is called a coffee rave. Or people having panic attacks. What about cold brew?

Cold brew has more caffeine? Yeah, yeah.

[Speaker 1] (1:07:48 - 1:07:48)

Cold brew would.

[Speaker 4] (1:07:48 - 1:07:51)

A lot. A lot more caffeine. A lot.

[Speaker 2] (1:07:51 - 1:07:51)

A lot more?

[Speaker 5] (1:07:52 - 1:07:53)

Yeah, it's like palpitations.

[Speaker 2] (1:07:53 - 1:07:54)

How much more?

[Speaker 3] (1:07:55 - 1:08:13)

You're putting more, way more coffee is going into a dose of cold brew. It's also a lot more contact time, right? With the water.

So cold brew would like maybe mingle with water for like 12 or 16 hours. Whereas espresso comes out in 30 seconds. So contact time will make a difference.

[Speaker 1] (1:08:13 - 1:08:20)

Is there like a thing, do people drink a lot more cold brew now than before? Is like a hot coffee your highest selling?

[Speaker 4] (1:08:21 - 1:08:27)

People use it a lot for like exercise. So as a pre-workout and things like that. So that's become common.

[Speaker 2] (1:08:28 - 1:08:50)

We covered food. Normally 50-50 split between food and beverage. If you have a hot kitchen, can help me as a 25-year-old.

But keeping consistency and not losing people is not easy, especially at scale. Subculture, vinyl records, I don't know if you have...

[Speaker 3] (1:08:50 - 1:09:38)

I would add one more thing, since these gentlemen are here. One thing that's made a big difference from the Subco lens has been, we crafted this kind of menu that we call the speakeasy menu. And that was interesting because what we wanted to do was sort of mimic what bars are done with cocktails, but use coffee as the base, right?

Simply put. And in fact, we built a lot of it with Swami Tonic at the time. And so I think this amalgamation now of coffee with soda, like carbonated soda, water, tonic water, flavored tonic water, like kombucha and coffee, these are now becoming additional interesting product differentiators.

[Speaker 2] (1:09:38 - 1:09:40)

Is that a novelty thing or will it stick?

[Speaker 3] (1:09:41 - 1:10:19)

I think it'll stick. I think that people who aren't, if the industry is moving away from, let's say, alcohol in some generalized sense, I think it makes perfect sense for coffee to still give you the sort of mimic the feeling and give you the benefits of drinking like an old fashioned without having any booze in it, right? Like we've tried making like Negronis and old fashions and like all sorts of like...

We made a Singapore Sling the other day for this Singapore event that we did with just non-alcoholic ingredients. And so I think it'll be more than a novelty. Yeah?

Yeah.

[Speaker 2] (1:10:19 - 1:10:28)

Yeah, I think so too. You're almost going to a coffee shop for the crowd that is in a coffee shop,

almost like a bar. How do you influence that?

[Speaker 4] (1:10:29 - 1:10:50)

I mean, for us at least, we try to do a lot of community events in the beginning, having pop-ups, having music, having art gallery. People come and do installations. So I think you have to have a hook.

Like what Rahul was saying is very true. You have to have some kind of reason for people to come.

[Speaker 2] (1:10:51 - 1:10:56)

Is it like a bar where you bring in the women and the men follow?

[Speaker 4] (1:10:56 - 1:10:58)

No, I don't think so. No, I don't think so.

[Speaker 2] (1:10:59 - 1:11:08)

So what hack can you tell me in terms of getting the kind of crowd in a coffee shop, which would attract more people? That's a good question.

[Speaker 4] (1:11:09 - 1:11:43)

If I had the answer to that, I would replicate it across our 135 outlets. I mean, for us, we've tried to just do it by product. And I think at a certain scale that works, right?

If you know that, okay, I know that this brand has a consistent coffee, consistent food. So when I'm choosing to go for my meetings or whatever, I can go to that place and be assured a certain level. I think that works.

But for like a standalone coffee shop, you'd have to have something more significant.

[Speaker 2] (1:11:43 - 1:11:58)

I feel like I might be the anomaly. But I can't remember the last time I chose to go to a coffee shop because they have consistent food and coffee. That you like.

Maybe I can go to a restaurant for that reason, but not a coffee shop. Same.

[Speaker 5] (1:11:59 - 1:11:59)

Right?

[Speaker 1] (1:12:00 - 1:12:13)

Yeah, I would, I mean, as non-coffee people, you know, I wouldn't necessarily go to a coffee shop for that repeat experience. But for both of you, what's your standard coffee order at a coffee shop?

[Speaker 2] (1:12:14 - 1:12:16)

Americano. Yeah. Latte.

[Speaker 4] (1:12:17 - 1:12:23)

But so if you knew one place had an Americano that you like versus a place that had a cool looking vibe, you'd choose the cool looking vibe.

[Speaker 1] (1:12:25 - 1:12:29)

I also think it depends on the location, no?

[Speaker 2] (1:12:31 - 1:13:24)

Like at home, I used to do Nespresso coffee for the longest time. Then Rahul did some mini Sapko setup. I saw the linear mini there.

Yeah, it's here as well. Nice. Now I know that the Nespresso is bad.

Because if I have a cup of this and I have a cup of that, I can distinguish. Yeah. But when I'm going into a nice coffee shop, their distinction becomes a little bit harder.

Because all the coffees are kind of nice. Or like, you know, like many things in life, like alcohol. If I'm having Grey Goose Vodka or Absolute Vodka, how much is the differentiation in taste that is actually palpable and I can distinguish?

And how much is the fact that I know one bottle costs two times the other, so it must be good? You know what I mean?

[Speaker 5] (1:13:24 - 1:13:24)

Yeah.

[Speaker 2] (1:13:25 - 1:13:26)

Yeah.

[Speaker 3] (1:13:26 - 1:13:27)

Do you get this question a lot with tonic?

[Speaker 2] (1:13:28 - 1:13:29)

Not with tonic.

[Speaker 1] (1:13:29 - 1:13:31)

I think it's more alcohol.

[Speaker 3] (1:13:32 - 1:13:35)

So no one's like, hey, like, can you really tell the difference between the tonics anyway?

[Speaker 1] (1:13:35 - 1:13:54)

You can. So there's a line by Fevertree, which I love, which is like three fourths of a drink is the mixer. So by volume, it's so much that you will.

And why I was asking them about the coffee. You can actually instantly tell the difference between tonics. Yeah.

Like sugar, bitterness. You can. Whatever.

Second notes.

[Speaker 4] (1:13:54 - 1:13:59)

Flavor-wise you can tell, but can you tell that this is a better quality tonic? I don't know if it's about better, right?

[Speaker 1] (1:13:59 - 1:14:40)

I mean, the taste is very like subjective at the end of the day, but it's not about better. But you can definitely, definitely pinpoint the difference. And then maybe you can pick what's better for you.

Why were you asking what coffee would be? So why I asked that was because in an Americano, I think to differentiate would be a lot easier than to me in a cappuccino format, especially if someone's adding sugar or something, then that taste across coffee shops could be, you know, a little more difficult to decipher. But Americano, I also think you're going to a certain level of coffee shops now, but a lot of places the Americano would be terrible.

Like a five star hotel, I'm assuming would have a terrible Americano.

[Speaker 2] (1:14:41 - 1:14:43)

Is what milk I have a novelty anymore?

[Speaker 3] (1:14:44 - 1:14:45)

Yes, I wanted to talk about milk.

[Speaker 2] (1:14:45 - 1:14:56)

Yeah, so if I have oat milk, almond milk, soy milk, I don't know how many other milks are there. Can it be a novelty? I think the quality of, I mean, so at least for us, very few people order these alternative milks, but...

[Speaker 4] (1:14:56 - 1:15:02)

How big is that? That's a big difference. How much of total sales is alternative milk?

2-3%.

[Speaker 2] (1:15:02 - 1:15:02)

That's it?

[Speaker 4] (1:15:03 - 1:15:04)

Yeah. Yours would be much higher.

[Speaker 3] (1:15:05 - 1:15:09)

But you're also... Not the exact number, but more than 10% for sure. Like 15%.

[Speaker 1] (1:15:09 - 1:15:16)

If you go to a coffee shop in Bandra, and you ask for regular milk, you get the look. Like, really? You want regular milk?

[Speaker 3] (1:15:17 - 1:15:33)

Well, what's interesting, Nikhil, is that there are these insane brands worth... I mean, I think the compounded annual growth rate of alt milk is... I have the figure somewhere, but brands like Oatly, which I'm sure you've heard about...

[Speaker 2] (1:15:33 - 1:15:35)

They did very well, and then the stock has crashed.

[Speaker 3] (1:15:35 - 1:16:10)

Yes, that's true. But I think the competition suddenly became majorly fierce. And there were a lot of brands in the West that are also...

Initially, they differentiated themselves heavily on the packaging, and it was... And it was... Look, for baristas, the way it textures and stuff was superlative for a long time.

But now there's loads of interesting oat milk brands, and even other milks, like you mentioned. You know, Macadamia Nut, and all sorts of stuff. Yeah.

But yeah, I mean, somewhat controversial. Like, the composition of the alt milk, and you know...

[Speaker 5] (1:16:10 - 1:16:10)

Exactly.

[Speaker 3] (1:16:11 - 1:16:13)

Yeah, there's a lot of stuff in there.

[Speaker 5] (1:16:13 - 1:16:14)

It's actually better.

[Speaker 1] (1:16:14 - 1:16:18)

Yeah, I don't get it. I don't get the... How many things you don't understand on the back of a label.

[Speaker 3] (1:16:18 - 1:16:18)

Yeah.

[Speaker 2] (1:16:18 - 1:16:57)

I must say, I'm still not feeling very confident opening a coffee store. You guys are like the masters of this business. Convince me to open one.

I know coffee gives me a high, crazy addictive, possibly healthy if I'm having black. You've told me what food I serve is very important. 50-50 in terms of sales with coffee.

Drama, vinyl, subculture, music, coffee raves, very important. You've said the crowd is a big draw. Actually, we've said the crowd is a big draw.

You've said the crowd is a big draw. How do we... How do you create an atmosphere artificially of good crowd?

[Speaker 4] (1:16:58 - 1:17:22)

But I think just take a step back to what we were talking about earlier. If there's only 5,000 coffee shops and more and more people are interested in coffee, more and more people are going to

coffee shops, it's a very underserved market. So I think the challenge is that real estate in India is also very expensive and there's limited supply.

But even if you feel it seemed that there's coffee shops opening up all over, it's very, very shallow.

[Speaker 2] (1:17:22 - 1:17:32)

But I'll tell you the problem. I have two crore rupees my uncle gave me. Yeah.

Matt and Rahul have a lot of money that investors have given them. Yeah. How do I compete with you guys?

[Speaker 4] (1:17:32 - 1:17:35)

I have... Open between us. We're going to bring in people.

[Speaker 2] (1:17:35 - 1:17:36)

I knew something was going to stick.

[Speaker 4] (1:17:37 - 1:17:41)

Just by virtue of being next to us, you're definitely going to siphon off some of that crowd.

[Speaker 2] (1:17:41 - 1:17:52)

I don't know about that. Often I see these two very similar restaurants. One has long lines, the other one is empty.

The long lines kind of self-fulfill the prophecy that where it is crowded must be good.

[Speaker 4] (1:17:52 - 1:18:13)

I think the restaurants are different. People don't want to wait for a coffee shop. And we've seen that when we have a coffee shop and let's say a third wave coffee opens, a Starbucks coffee opens, a Chaios opens, an independent coffee shop opens, it actually sucks in more people to that market and everybody does better.

You think? I have. I mean, it's happened for many times.

[Speaker 2] (1:18:13 - 1:18:15)

Is Starbucks doing well in India?

[Speaker 3] (1:18:17 - 1:18:21)

Yes and no. I mean...

[Speaker 2] (1:18:21 - 1:18:27)

There was some rumor that Starbucks is shutting down. Then they came and clarified that it's vague. But how is it actually doing?

[Speaker 3] (1:18:27 - 1:19:10)

I don't have any data on how they're doing. What I would say though, Nikhil, is that when you say speciality, this is an interesting one. So Starbucks's perception differs heavily based on which country it's in.

Which means what? Which means in India, Starbucks is the biggest specialty coffee brand. Even though me and Matt would not refer to it as a specialty coffee brand.

Which is kind of fascinating. Because price point-wise, Starbucks is even at times more expensive than we are. And well, they are who they are.

They have the brand that they have and you have to respect that. But that's interesting to me.

[Speaker 4] (1:19:11 - 1:19:17)

I mean, so they've gotten to a thousand plus crores, right, 97 cities, so...

[Speaker 2] (1:19:17 - 1:19:17)

Profitably?

[Speaker 4] (1:19:18 - 1:19:18)

No.

[Speaker 2] (1:19:19 - 1:19:40)

Why is that? Why is Starbucks globally as profitable as they are? Because I work in the stock markets, I've looked at it from a very stock market lens.

They're almost a bank as much as they are a coffee shop. But for somebody who's so profitable outside, why are they struggling to break even and make money in India?

[Speaker 4] (1:19:41 - 1:19:45)

Their cost structure is also quite different in India versus other places.

[Speaker 2] (1:19:45 - 1:19:46)

It should be better, right?

[Speaker 4] (1:19:46 - 1:19:56)

No, because it goes back to the real estate. They pick the most prime locations in every market that they're operating. So the rentals that they're paying are incredibly high.

[Speaker 2] (1:19:56 - 1:20:02)

The one thing I've noticed is in America, a lot of people buy a coffee and walk.

[Speaker 5] (1:20:02 - 1:20:03)

Yeah. Yes.

[Speaker 2] (1:20:03 - 1:20:10)

They don't occupy real estate. In India, if you sell somebody a coffee for 200 rupees, they're going to sit there for an hour.

[Speaker 4] (1:20:11 - 1:20:13)

That whole behavior shifted to Zomato and Swiggy.

[Speaker 1] (1:20:14 - 1:20:27)

I was just going to ask, what about Zepto Cafe and all? They seem to be, Zepto Cafe seems to be doing well from what I've heard. Not sure.

I think it's 100 bucks or 120 rupees for a cappuccino on Zepto makes a compelling case.

[Speaker 2] (1:20:28 - 1:20:48)

Does that one thing ruin the chance for me, 25 years old, wanting to open a coffee shop? If I were to open in America, 100 people will come in the morning, buy and walk. But in India, if five people come and I have eight tables in my store and five are occupied, I can't service anymore.

Yeah, that's a limiting factor for sure.

[Speaker 3] (1:20:48 - 1:21:50)

I think that that's why in this market, I feel like that all the stuff I keep saying about differentiation becomes hyper important because you're still dealing with needing it to be experiential primarily and then everything else serving that experience. That's the way that I see it in the domestic market because you're absolutely right. I mean, if Matt was to open in Manhattan or in London or in Dubai or wherever, yeah, I mean, he'd be able to serve people that were like, okay, habitually, I

drink three to four cups a day.

I get them at various times. Sometimes I pick it up. Sometimes I sit there.

Sometimes I pick it up and come back to my office, whatever it may be. So even like baked goods, right? Like there are people that live on eating like croissants.

I'm not saying they should, but they do. And so I think we're kind of at this weird inflection point where when you look at Starbucks, I think because they have the capital to expand as quickly as they have, they're doing that whilst brands like us are trying to like change the culture of coffee.

[Speaker 1] (1:21:50 - 1:21:51)

I was just gonna say that, yeah.

[Speaker 3] (1:21:51 - 1:22:13)

And that's pivotal for a brand like Starbucks to actually succeed at the scale and the profitability that they're ultimately looking for is it can't only be limited to like, hey, we're aspirational. It has to be about changing the habituation towards coffee. And I think like Matt's played a big role in that before him, Cafe Coffee, they played a very big role in that, you know?

And we're trying to play a role in that.

[Speaker 4] (1:22:13 - 1:22:26)

I also think that Indian consumers affinity towards international brands is not what it was 15, 20 years ago. So the idea that I can just be an international brand and automatically I'll have a line is no longer applicable.

[Speaker 2] (1:22:26 - 1:22:27)

Which is great in my opinion.

[Speaker 1] (1:22:28 - 1:22:49)

Homegrown is way cooler now, right? And Starbucks is not cool. It may be cool in a smaller town for some time.

And I'm sure that- In Bombay it's not cool? I don't think so. No?

I think it's very functional. You might want to meet someone and you know Starbucks is going to be standard. So you might do that.

I don't think it's cool.

[Speaker 4] (1:22:50 - 1:23:05)

I think in a certain subset of the population- But even within Bombay, it's like maybe a younger crowd that- But when at that same place where there's a Starbucks, tomorrow when a Blue Tokai opens or a Sapco opens or a Bujji opens, I think they will take a lot of their customers.

[Speaker 2] (1:23:06 - 1:23:10)

Yeah. And you guys always open kind of next to each other, right? Like all the coffee shops?

[Speaker 4] (1:23:11 - 1:23:20)

Because again, you want to be where the people are. So there's not a- It's not- We're all kind of- We're a little different. Similar real estate.

[Speaker 2] (1:23:20 - 1:23:23)

I remember Third Wave used to always be next to Starbucks.

[Speaker 4] (1:23:24 - 1:23:29)

Because they're very similar in terms of the TG that they're attracting.

[Speaker 1] (1:23:29 - 1:23:39)

Not off topic, but one thing, I think McCafe doesn't have a cool impression, but definitely better coffee than Starbucks. Which one? McCafe.

McDonald's. Yeah?

[Speaker 2] (1:23:39 - 1:23:40)

Yeah. Really?

[Speaker 3] (1:23:41 - 1:23:42)

There are people that say that. Yeah.

[Speaker 2] (1:23:42 - 1:23:51)

Pretty decent cappuccinos. Isn't that in itself subjective? What is a good coffee?

What is better? What is worse? I mean, there is an objective scoring system.

[Speaker 4] (1:23:52 - 1:23:52)

Yeah.

[Speaker 2] (1:23:52 - 1:24:09)

But ultimately, it depends on your individual preferences. But you guys are not helping me enough. I know a bunch of things, but I'm still scared to open a coffee shop.

Now you're telling me if I were in the US, I could sell in 2000 square feet, 100 coffees every morning. But you would face so much competition.

[Speaker 4] (1:24:09 - 1:24:12)

You would face so much competition in the US. But I think Tier 2 is good for opening a coffee shop.

[Speaker 2] (1:24:13 - 1:24:13)

Is it?

[Speaker 4] (1:24:13 - 1:24:22)

Yeah, I think so. Because lesser options. More underserved.

Still, there's enough of a population who appreciates coffee, who is interested in it.

[Speaker 3] (1:24:22 - 1:25:34)

But me and Matt were talking about this earlier, like before we came here. What is the thesis behind brands that want to sell coffee for less than 100 rupees? Because for me, coffee is like this upwardly mobile aspirational beverage.

So suddenly you're running into this new curve, right? Where who are you serving? You're not sure.

You're just trying to have a race to the bottom with the product. I mean, I think I've spoken to Nikhil once about this actually. I think you asked me a question once, Nikhil, about what I would do with pricing, like what pricing strategy might look like at Subco.

And I think with various things happening, supply chain shocks, inflation, how would you try to deal with that? Would you make things more affordable for your customers? And I think given the kind of brand we're trying to build, I said, no, we would maintain our standards obviously very high.

But I think the customer base we have expects sort of like this premiumization of the segment. And I'm just wondering, I'm personally not sure. There are multiple brands that have come up and raised a lot of capital recently who like have coffee for less than, I mean.

[Speaker 4] (1:25:34 - 1:25:40)

Yeah, I don't think that dropping the price increases demand so much to compensate for that.

[Speaker 5] (1:25:40 - 1:25:40)

No.

[Speaker 4] (1:25:40 - 1:25:59)

The people who are coming for a coffee shop are more price insensitive. What price are most people okay to spend on a coffee when they come into Blue Turquoise? So we've done a survey and it's 250 rupees is kind of, they won't notice anything up until 250 rupees.

It's above 250 rupees, then they'll start to pay attention.

[Speaker 2] (1:26:00 - 1:26:00)

Right.

[Speaker 4] (1:26:02 - 1:26:04)

What's your pricing average?

[Speaker 2] (1:26:04 - 1:26:31)

So cappuccino is 240. There come some coffee shops in Bangalore I go to outside of Blue Turquoise and Sapko. There's Araku, there's Lavon.

Like even for me, it's complicated now. When I have to choose, I'm trying to think why do I choose to go to one versus another? It's coming down to avocado toast and eggs for me.

I must say.

[Speaker 1] (1:26:31 - 1:26:36)

There used to be one coffee shop in JP Nagar. I don't know if around the corner. Benki?

[Speaker 5] (1:26:36 - 1:26:37)

Yeah, yeah, yeah.

[Speaker 1] (1:26:38 - 1:26:44)

Standard, right? No food, no nothing. Just coffee.

Excellent coffee.

[Speaker 2] (1:26:47 - 1:26:53)

And there's one in Mysore now. I know people are driving from Bangalore to Mysore. That bakery.

Sapa.

[Speaker 1] (1:26:54 - 1:26:56)

Sapa. Yeah, Sapa is great. I just finished that stolen.

[Speaker 2] (1:26:58 - 1:27:12)

What about India's palate? Sweet, not sweet. Is that changing at all?

Are there any micro trends there? What if I start a coffee shop and I say the novelty is no sugar whatsoever? In the entire store.

There'll be four of us.

[Speaker 4] (1:27:12 - 1:27:13)

Yeah, you won't survive.

[Speaker 2] (1:27:13 - 1:27:23)

No. And a very high premium pricing. 350 rupees for a coffee and above.

No sugar whatsoever. Some vinyl playing, coffee rave Sunday morning.

[Speaker 3] (1:27:24 - 1:28:22)

So interestingly, I would, I would, I don't know if it's a Subco thing or what, but the data that we have, year on year growth of pour over coffee, black, right? 81% from last financial year to this one. Same thing with the retail beans.

So, I mean, that indicates two things. One is that people may be brewing more coffee at home than ever before in India, which I think is probably fair to say. It's happening.

And typically nobody would add milk or sugar into a pour over. You're paying like double the price. And so, so I do think I totally understand that like at scale.

Yes, I think India likes sweet things and that we know that. But I do think there is a growing segment of people that are, whether it be for health reasons, whether it be for just actually trying to experience the natural flavors that may be there in coffee or mix of the two. I do think there is, there is a growing segment for people wanting to drink it black without sugar, without milk, without

anything.

[Speaker 1] (1:28:22 - 1:28:50)

Coffee, sorry, coffee is also a big hobby. Like that part of coffee is so, that's also addictive, right? And we spoke about this once.

There are not too many beverages, like you said, that can give you a high that are also that complex. That's, that also becomes a ritual, right? You grind your own coffee, you make your own coffee, you're trying different beans.

That ritual also, I think, is such a fabulous thing to get into.

[Speaker 5] (1:28:50 - 1:28:52)

And the moment you start doing that.

[Speaker 1] (1:28:52 - 1:28:58)

Workflow, it's that magic workflow. And that's such a big community, right? And that's grown so much in India as well.

[Speaker 2] (1:28:59 - 1:31:28)

So I'm obsessed with consumption trends, okay? Uh, so I'm constantly doing research, again, from a very investor lens. Like right now, if you were to take the end of January, beginning of February, many different sectors, consumption is slowing down.

I won't, I don't want to name brands because I should not be talking about their numbers. But like say a clothing brand, I'll name foreign ones because I can. Like Azara in India, which was growing at 30-40% or a H&M a year ago, is now either not growing or flatlining.

Vehicle sales, be it passenger or commercial, have slowed down to a large degree. Clothing brands across price points, the ones who are selling it 500 rupees a t-shirt to 5,000 rupees a t-shirt, we're seeing slowdown across all of this. Uh, I've gone around asked a bunch of people who run, operate brands like this, why is it happening?

Many believe it's cyclical. There was a boom in consumption after COVID. That boom is kind of plateauing out right now.

Nobody knows the real reason. It could be that, it could be that discretionary income is going down because the cost of money in the West is higher and less money is finding its way. For a long time, especially in bank law, everything we bought and did was subsidized by foreign P's and VCs who were dumping money on me and my friends in the startup world, not so much me, but they were in turn subsidizing everybody.

The one unique insight a lot of these consumption gurus who run many, many brands have is anything health in this three-month cycle, two-month cycle, is really starting to gain traction. People are really doubling down on health, which is ironical in a way, because if your discretionary spend is going down, your spend on health should be going down. But that, that is like a counter trend almost.

Do you think there is a scope to incorporate that here and say the healthiest coffee shop next to Sapko and Bluetocoy, where you guys are selling cookies and all of that? And I don't. Can I do that?

[Speaker 3] (1:31:29 - 1:31:31)

Yeah, yeah. Can I say whatever you come in?

[Speaker 4] (1:31:31 - 1:31:35)

High protein, protein coffees or protein.

[Speaker 3] (1:31:35 - 1:31:37)

MCT and all of that.

[Speaker 2] (1:31:37 - 1:31:53)

You think that could work? Yeah. What if I say you come into my coffee shop, I will make sure you walk out without consuming more than 250 calories.

The minute you've spent 250 calories, I block you from having anything. I would go there. You would go there, right?

I would go there. Right?

[Speaker 3] (1:31:54 - 1:32:01)

I think it's an interesting angle. And both of you guys have marked as low calorie on your products. I noticed.

Yeah.

[Speaker 1] (1:32:01 - 1:32:15)

I mentioned the full calorie content on the front label. Not per 100. Not just per 100.

Front label, right bottom in the center, total calories of the bottle right there.

[Speaker 5] (1:32:17 - 1:32:20)

People should be educated about what they have there.

[Speaker 1] (1:32:21 - 1:32:27)

I have no problem. There's no point in seeing four calories and there's per 100 and then there's 300 and then that triples up.

[Speaker 3] (1:32:28 - 1:32:31)

I know your philosophy is like less sugar is what you guys write, right?

[Speaker 1] (1:32:31 - 1:33:05)

We're more less sugar better than no sugar or artificial sugar. Ethos being everything consumed at a particular level is just good for you. Your body accepts sugar.

It's like a dopamine kick, right? Your body needs that level of sugar for you to not crave it further. And we believe low sugar is much, much better than no sugar.

In no sugar, your body is going to crave it. So you're going to feel like having something more sweet again after a little while. But when you completely knock it back, your body is still getting just the right amount of sugar.

[Speaker 3] (1:33:05 - 1:33:12)

Indians understand how kombucha and sugar interact and the... No, they don't. And how the SCOBY works.

No, they don't.

[Speaker 2] (1:33:12 - 1:33:30)

But they're getting there. Why don't you start? Let's take a break from coffee.

I'm not convinced to open a coffee shop, guys. Not yet. But we'll come back to this.

Should we move to kombucha for a bit? Maybe you start by explaining what is kombucha. Because most people don't know it.

In South, it's bigger than North for some reason.

[Speaker 1] (1:33:30 - 1:34:10)

Yeah, yeah, it is. Okay, very simple. It's fermented sweetened tea.

Tea, black tea mostly or green tea, which is usually sweetened mostly by an organic sauce like a

sugar or a jaggery or a honey. Um, it's fermented with this culture called SCOBY, which is a symbiotic colony of bacteria and yeast, which means both bacteria and yeast have a function to play in the process of fermentation. Um, it was discovered by accident.

I think one of the stories is that 5,000 years ago, there was this Korean guy who just left tea outside and then it had this...

[Speaker 2] (1:34:11 - 1:34:12)

Chinese guy, no?

[Speaker 1] (1:34:13 - 1:34:14)

Yeah, different stories.

[Speaker 2] (1:34:14 - 1:34:15)

I read a few stories.

[Speaker 1] (1:34:16 - 1:34:55)

Asian guy. Yeah? And then it was called kombucha in Germany.

And no, no, no. It was... That is Quass.

So it was... So apparently he left this tea outside there and then he gave it to a Japanese emperor. The emperor liked the tea.

So he called that... That dude's name was Kombu. So it was Kombu's tea, kombucha.

That was essentially the origin story for kombucha. Many cultures have different fermented beverage. We have kanji.

The Germans have Quass. So origin stories and fermented beverages keep changing. But essentially, kombucha essentially is fermented tea.

It's fermented using this culture called scoby. There's...

[Speaker 2] (1:34:55 - 1:34:57)

Can you explain what fermentation is?

[Speaker 1] (1:34:58 - 1:35:06)

Fermentation is the process of breaking... In the most simple way, it's the process of breaking down sugars. That's fermentation.

[Speaker 2] (1:35:06 - 1:35:08)

Sugar is bad. Why is breaking down sugar good?

[Speaker 1] (1:35:08 - 1:35:46)

Breaking down sugar easy for your body to consume. So it'll break it into mostly organic acids. And basically, it's food for the bacteria.

So the culture grows. So that's essentially... And it's breaking down complex sugars in a way where it makes a lot of difference in flavor or it makes a lot of difference in health in terms of consumption.

So what you're saying, scoby is a bacteria? Scoby is both bacteria and yeast. Symbiotic culture of bacteria and yeast.

What is yeast? Yeast is what... How do I say?

Yeast is what they use to puff up brain.

[Speaker 2] (1:35:47 - 1:35:48)

But what is it? Again, a bacteria?

[Speaker 1] (1:35:49 - 1:35:58)

It's another life culture. It's another living thing, so to say. So what you're saying is, okay, there's some bacteria.

There's some bacteria. There's some yeast. Both of us have its function.

So you take sugar.

[Speaker 2] (1:35:59 - 1:36:00)

You feed the bacteria sugar.

[Speaker 1] (1:36:00 - 1:36:33)

No, so you take sugar and tea and you put the scoby in it. First, the yeast works. The yeast breaks down the sugar, gives rise to alcohol and organic acids and carbon dioxide.

The bacteria then eats away all the alcohol. And then it gives you this tea, which is essentially a non-alcoholic beverage. And why is that?

In the process, it generates a lot of organic acids like lactobacillus, glucanol, probiotics,

prebiotics, organic acids, all of it in one.

[Speaker 2] (1:36:33 - 1:36:37)

Why are prebiotics, probiotics, and organic acids good for me?

[Speaker 1] (1:36:37 - 1:37:35)

It's good for your gut. Essentially, how your brain controls your cognitive, your gut controls everything else, like how you're fighting diseases, your immunity, your metabolism. Everything is essentially controlled by your gut.

Your well-being essentially is not your brain. It's more your gut. So our body is actually a bag of bacteria.

Good and bad both, right? You want to keep it in balance. You want the good to always be better than the bad.

And this bacteria you're saying is good? This has a lot of different bacterias. Eating those also is good for you.

Eating curd is also good for you. Drinking kefir is also good for you. Essentially, it's a way for you to feed the bacteria.

Just by eating bacteria, it doesn't mean that this bacteria is getting consumed. So this bacteria is directly going and sitting in your gut. Basically, what it does is, the process of fermentation gives rise to all of these acids that are good food for the bacteria.

So it's good for your gut flora.

[Speaker 2] (1:37:35 - 1:37:39)

So when I'm eating something fermented, I'm feeding the bacteria in my gut? Yes.

[Speaker 1] (1:37:41 - 1:38:11)

Either through all of the organic acids that we produce and... Does it sound bad that I'm feeding the bacteria in my gut? It's actually good for you.

It's actually good for you because if you're feeding... Like I said, there are good guys and the bad guys. You're feeding the good guys.

You're feeding the good guys so that they can fight the bad guys. The bad guys... The bad guys mostly...

I don't know. I don't think I'm qualified enough to tell you this. Yeah.

So it's mostly... It's what lets you not fight off a disease or an infection or anything like that.

[Speaker 2] (1:38:11 - 1:38:49)

So I must say, I've been a kombucha drinker for a long time. Yeah. I've had all his flavors.

I probably tried every kombucha there is to try in India. Outside also, I've tried a lot. This new thing in the US.

What is the store called? E-R-E-W... Air One.

Air One. I've been having their kombucha. I've had everybody's kombuchas.

I like it because it... I don't know if it's placebo or not. But somebody has told me it's healthy and it tastes like I'm having a Coke.

Yeah. So is it really healthy or is it like, you know, having 100 milligrams of caffeine is good for you kind of thing?

[Speaker 1] (1:38:49 - 1:39:12)

No, it's healthy. I'll tell you. I'll tell you how it's healthy.

Okay. Now health is a very specific claim, right? I'll tell you healthy.

If you were... You're drinking a carb... Essentially, your consumption is because you want to drink a carbonated beverage.

You're replacing your carbonated beverage with this. You're better off drinking this than a standard market bought carbonated beverage. That's how it's healthier for you.

You're saying this is better than Coca-Cola? It is better than Coca-Cola.

[Speaker 2] (1:39:12 - 1:39:16)

But are you saying if I'm drinking water and have kombucha, it's good for me?

[Speaker 1] (1:39:18 - 1:40:24)

Water is the best. Okay. But like, you know, I'm not going to make fad claims.

Water is the best for rehydration. Kombucha has its purpose, right? You're drinking kombucha essentially to replace that fizz factor.

You're not drinking... People are not going to get healthy and become, you know, like Superman by drinking kombucha. That's not what happens.

The consumption is getting changed. You're better off... Look, for example, if I were to tell you, you know, Coke has this much, this much sugar.

It has artificial flavor. Now, there are studies to say that it's bad for you, right? But when you're consuming a kombucha, there is no maybe effect.

It's good for you. It'll do you good while you're drinking it. It'll do you good when it's coming out.

There is no maybe clause. Now, how much better? How much is affecting you?

It's a lifestyle choice, you know? You have to continually do it. And you will see that change.

You will see difference. It's good organic acids. People say drinking apple cider vinegar is really good for you.

It is good for you. I drink that also. Because it's of that pH balance, right?

Kombucha is essentially vinegar. It's tea vinegar. That's what it is.

[Speaker 2] (1:40:24 - 1:40:31)

Every morning, I have hot water with turmeric, lemon and apple cider vinegar. Like, one liter. Yeah.

[Speaker 1] (1:40:31 - 1:40:33)

So, what difference are you seeing?

[Speaker 2] (1:40:33 - 1:40:34)

I have no idea.

[Speaker 1] (1:40:34 - 1:40:35)

I've been drinking for years.

[Speaker 5] (1:40:35 - 1:40:39)

I have that. Then I have black coffee. Then I have something else.

[Speaker 1] (1:40:39 - 1:40:52)

So, it's one of those things, right? Maybe the difference is how you are today. It's not something that you can measure.

And it isn't something that you should measure. It's something that you do if you want to have longevity, so to say.

[Speaker 4] (1:40:52 - 1:40:58)

There's been no studies on this. I would imagine that it's been established for so much longer that there would have been all these health studies.

[Speaker 1] (1:40:58 - 1:41:04)

There are studies. But not very conclusive. To say if it's good for you or bad for you.

[Speaker 2] (1:41:04 - 1:41:04)

Right?

[Speaker 4] (1:41:06 - 1:41:06)

And...

[Speaker 2] (1:41:06 - 1:41:13)

The industry is not big enough for people to create studies. Like, they say coffee is good today because so much money is made.

[Speaker 4] (1:41:13 - 1:41:18)

4 out of 5 cups is recommended to get the maximum health benefits. For Kombucha?

[Speaker 3] (1:41:19 - 1:41:19)

Coffee?

[Speaker 2] (1:41:20 - 1:41:22)

Yeah? Yeah. 4 to 5 black coffees.

[Speaker 3] (1:41:22 - 1:41:23)

We've got to amp it up, man.

[Speaker 2] (1:41:23 - 1:41:33)

Maybe we should have another one then. I'm short my quota for today. I read about this interesting guy online.

His name is G.T. Dale. Yeah. Apparently, he's the...

[Speaker 5] (1:41:33 - 1:41:34)

Biggest Kombucha dude.

[Speaker 2] (1:41:34 - 1:41:47)

Biggest Kombucha dude in the world. And he's the first Kombucha billionaire who started brewing in his house when he was 14, 15. Yeah.

And selling it. And he made this massive brand out of it.

[Speaker 1] (1:41:47 - 1:41:53)

The only billion-dollar Kombucha brand. What's the brand? What is it called?

G.T. G.T.'s. That's his name also, right?

[Speaker 2] (1:41:53 - 1:41:53)

G.T. Dave?

[Speaker 1] (1:41:53 - 1:42:06)

G.T. Dave, yeah. It's... Yeah.

So, G.T.'s Kombucha is the largest they make. They started off with Kombucha, did many other things. But Kombucha is what they sell the most.

And... Very different from the Kombucha that we make here.

[Speaker 5] (1:42:06 - 1:42:07)

Yeah?

[Speaker 1] (1:42:07 - 1:42:20)

In terms of... Not in terms of function but more in terms of flavor. The Kombucha that you get abroad is sour.

We were just discussing this before also. Kombucha that you get in the US is a different palette. It's super sour.

If you've had those Kombucha, you know it's a lot more sour.

[Speaker 2] (1:42:21 - 1:42:23)

But it feels like it's doing more in your body than the Kombucha you get here.

[Speaker 1] (1:42:24 - 1:42:49)

I wouldn't say it's doing more or less. Ours is more about keeping everybody happy. Whilst having them consume this beverage.

Now, if I were to give somebody something that vinegar tasting, doesn't fly well. Because we used to make... When we used to make Kombucha earlier in the day when we just started, that was the way to make Kombucha, right?

There was no tech involved. There were no machines. There was none of that.

So the Kombucha used to come out that way. Takers were very, very low.

[Speaker 5] (1:42:50 - 1:42:50)

Yeah?

[Speaker 1] (1:42:50 - 1:43:20)

Yeah. And then we slowly started focusing. And we were doing tea-based Kombucha, right?

We were doing... That's what I want to say. We were showcasing the teas around us.

Like exactly like how Kombuchas used to be made back in the day. But with different teas. And the flavor differentiation essentially were the different teas.

Things really changed for us when we made Cola. Things really changed for us when we made Ginger and Blueberry. And things a little more funky and massy and things like that.

It's because that's what people want also.

[Speaker 3] (1:43:21 - 1:43:28)

But I think it's a journey, right? Like you introduce people to a certain level of that funk. And then as their palate shifts, you build.

[Speaker 1] (1:43:29 - 1:44:08)

That's the thing for us, right? Essentially, right now, because the category isn't there. It's about building that category.

And then doing many, many pieces in this. So you'll have like a... Mostly you'll have like a probiotic shot.

That'll come now that people have started doing that. Then you'll have a more artisanal way of Kombucha. Kombucha started off to be artisanal.

It never got that chance to be built as a category. This is what we're trying to do now. Which is

why premiumization in that segment doesn't...

It doesn't work for that. Because that segment hasn't been built at all. How big is it?

It's very small. It's about 200 crores right now. In India?

In India. 200 crores? The whole market?

Yeah.

[Speaker 2] (1:44:09 - 1:44:09)

Is that all?

[Speaker 1] (1:44:09 - 1:44:11)

Yeah, that's all.

[Speaker 2] (1:44:11 - 1:44:13)

Who has market share? How much do you guys have?

[Speaker 1] (1:44:14 - 1:44:23)

We have a small share. I only have data from QuickCommerce. Otherwise, it's very hard to pick.

On one of the QuickCommerce platforms, we have about 32% of the market share.

[Speaker 2] (1:44:24 - 1:44:27)

And in the US, it's about 4-5 billion dollars.

[Speaker 1] (1:44:27 - 1:44:28)

It's 4-5 billion dollars. Yeah.

[Speaker 2] (1:44:29 - 1:44:30)

That sounds like potential, right?

[Speaker 1] (1:44:30 - 1:44:54)

Yeah, there is a lot of potential. It's growing. I mean, we've been growing like crazy.

It was... I think it was about 30 crores in 2021. So it's been growing.

It's been growing really well. It's almost tripled, so to say. And it's only growing more because on the backside, just me being one of the small brands in a very crowded kombucha space, we've

been growing 5x almost every year.

[Speaker 2] (1:44:55 - 1:44:59)

So this sounds like a killer opportunity. It went from 30 crores to 200 crores in 4-5 years?

[Speaker 1] (1:44:59 - 1:45:04)

Yeah, and it's definitely going to go to a billion dollars by 2032 is what they say.

[Speaker 2] (1:45:04 - 1:45:04)

In India?

[Speaker 1] (1:45:04 - 1:45:54)

In India. Yeah. And also, I think, like I said, right?

Consumption pattern for kombucha in India is very different. People are not drinking it to say, oh my god, I'm going to get super healthy. People know it's healthy.

People know it's fizzy. So they were like, I'm already drinking this fizz that's bad for me. I'm just going to replace it.

And we achieve more success by making it more accessible. That's essentially how this category is going. Accessibility means cheaper?

Cheaper. Distribution? Distribution, both.

How much does your kombucha cost? My kombucha costs 130 rupees. Versus the market at 200?

Yeah, different players are different. There is a kombucha much cheaper than I am. There is a kombucha at 90 rupees.

There is a brand from Goa that does it at 90 bucks. There is a brand from Delhi that does it at 99. I'm at 130 rupees.

[Speaker 2] (1:45:55 - 1:46:01)

How much does it cost you to make? Because it sounds like you're just fermenting tea, right? Is there any raw ingredient which is expensive?

[Speaker 1] (1:46:01 - 1:47:17)

No, not at all. Not at all. It's just mostly quality of tea.

We end up using fairly higher quality tea than... I don't know. I wouldn't say higher quality.

I wouldn't draw a comparison. But we use a very high quality tea. I think the margins are great because the pricing is so high.

But that is the only thing that lets us build this product without, so to say, having an investment or... People are very skeptical about kombucha in general, right? Because of the name, because of the education involved in telling people what a kombucha is.

So it was very hard for us because we had to build... We're still building it. It was very hard for us because there was nobody interested in putting in money.

Not even the banks. So it was our own money. It still is.

Five years in. Two guys, super lean. Super, super lean operation.

Had to crack different segments as it went. Quick commerce being the biggest one because distribution is something that they took care of. And you know, you sitting in your house in Delhi can order my kombucha in 10 minutes.

That was never, never been done before. It was just, it was the right place at the right time when we started off. And along with us, the kombucha sort of wave started.

And along with that, quick commerce also sort of grew. So quick commerce has been good.

[Speaker 2] (1:47:18 - 1:47:28)

What's the biggest channel for you now? That's the largest channel for us, yeah. It's about 60% of our business.

And they take 20-30%? Yeah, they take roughly about 30%. What kind of gross margins do you work at?

[Speaker 1] (1:47:28 - 1:48:32)

We operate at about 70-77% at this price point. Very high. But I mean, we will hopefully launch better beverages, slightly more cheaper, slightly more accessible.

Because between 100 and 130 rupees, there isn't really a business to be made. But sub that, there definitely is a lot of business to be made. And that's what we've been doing the last year.

I think for about four months, just four or five months, just to test the water, we got down our price from 130 to 9 grand. Our business went up 6x instantly within three months. It was crazy.

And that was the take home from there. And it isn't anything. There is a much larger business to

be built if there isn't kombucha, so to say, but a better for you soda.

I think the market is super huge. And there is a large scope. If I were to tell you that there is a functional beverage, a soda, which is good for you, has a little bit of protein, has a little bit of fiber, is super low in sugar.

[Speaker 2] (1:48:32 - 1:48:33)

What is a functional beverage?

[Speaker 1] (1:48:34 - 1:48:38)

Functional beverage is what it's doing to your body. You got some, right? I got some.

[Speaker 2] (1:48:38 - 1:48:39)

You guys want to try?

[Speaker 1] (1:48:40 - 1:48:45)

Yeah. I got some tonic waters and some kombucha.

[Speaker 2] (1:48:45 - 1:48:46)

So you guys are competition.

[Speaker 1] (1:48:48 - 1:48:56)

As long as someone's not drinking Schweppes, that is it. We have one common enemy. That's how I see it.

[Speaker 2] (1:48:56 - 1:49:03)

I'm going to get into why, again, I should build, but this sounds exciting. If I only have two crores and I'm deciding between coffee and you.

[Speaker 1] (1:49:04 - 1:49:24)

You're sounding more tempting. We started this business with six lakhs, three lakhs and three lakhs. That's how much money we put into this business.

I wouldn't say we made a lot of money, but I think we've built a business worth putting money into, worth enough for people to consider putting money into at this point.

[Speaker 3] (1:49:24 - 1:49:28)

How do you explain the word to people when they first encounter it?

[Speaker 1] (1:49:29 - 1:49:30)

So that's the problem, right?

[Speaker 3] (1:49:30 - 1:49:35)

Like the lower your price point goes, the more you're accessing people who have no clue what this is.

[Speaker 1] (1:49:35 - 1:49:53)

Kombucha in a... So I think that's been our learning, right? From then to now, right?

Education has been sort of our biggest letdown and education requires a lot of capital and a lot of time and a lot of expertise in being able to communicate that. None of which we had.

[Speaker 2] (1:49:53 - 1:49:57)

But you probably have the inflection point the U.S. did at some point, right? Naturally.

[Speaker 1] (1:49:58 - 1:49:58)

Naturally.

[Speaker 2] (1:49:58 - 1:50:01)

Because we seem to mimic the West. Yeah.

[Speaker 1] (1:50:01 - 1:50:08)

No, but that's what's helping us right now. That's what, that is the only thing that's helping us right now, right? That culture saying kombucha, oh my God, okay.

[Speaker 3] (1:50:09 - 1:50:15)

It's such a billion dollar industry. Okay, people are looking into it. How about export for you guys?

Huh? How about export? We've talked about it.

[Speaker 1] (1:50:15 - 1:50:44)

We have. I think Middle East is seeming really juicy right now. But we're working around legislations over there.

And, you know, it's a lot of things. But you know, in our category, logistics is expensive. Yeah.

So exporting the product is actually really, really, really cheap. It's not, it's not like, like I said,

anybody with a bucket can make kombucha now. Can you do it to be scalable?

Maybe not, but you can definitely, definitely start. And then you can learn along the way.

[Speaker 2] (1:50:44 - 1:50:51)

So is there a use case where I make an alcoholic beverage like beer, which has 5% alcohol, but it's kombucha?

[Speaker 1] (1:50:51 - 1:50:54)

It's called hard kombucha. They have hard kombucha. In the US.

That's what it is.

[Speaker 5] (1:50:55 - 1:50:55)

It's as hard as everything.

[Speaker 1] (1:50:56 - 1:51:03)

That's the next phase. I think kombucha will hit as in general. It'll be competition to your standard breezo.

[Speaker 5] (1:51:03 - 1:51:04)

Or beer.

[Speaker 1] (1:51:04 - 1:51:06)

Etc, etc. Or, yeah. Or what did you say?

[Speaker 2] (1:51:06 - 1:51:06)

Beer.

[Speaker 1] (1:51:07 - 1:51:07)

Beer.

[Speaker 2] (1:51:09 - 1:51:12)

How big is that market? If the US market is 5 billion.

[Speaker 1] (1:51:14 - 1:51:45)

So they say that the hard kombucha market is almost as big as the regular kombucha market in the US right now. Same about 4-5 billion. Because it's also trending, right?

But we believe that hard kombucha in India, in India, we still have time. People need to understand what kombucha is first. Let alone, let alone, we've been trying to push the agenda of using kombucha as a cocktail mixer for the longest time.

We haven't been very successful with that. Only then comes hard kombucha for us.

[Speaker 2] (1:51:45 - 1:51:54)

Do you think there's scope in India to build that? A beer competition? Do the health benefits of kombucha with 0.5% alcohol, see it at 5%?

[Speaker 1] (1:51:55 - 1:52:08)

The question of health goes out of the window when there's alcohol in it, right? Mentally, if you think about it. Would you want to consume sugar?

Yes. Calories? Yes.

But that's about it. I wouldn't, I...

[Speaker 2] (1:52:08 - 1:52:11)

If somebody told me there's healthy alcohol, I would probably pick it. But you know...

[Speaker 1] (1:52:11 - 1:53:14)

Low calorie, maybe. Low calorie, yeah. I think, I think there is.

I think in maybe in the next two or three years, there is maybe a little bit of scope. We won't know until we've tried. So if you look at hard seltzers, right?

US, it became so popular. All your white claws of the world and all. India, it's not really worked.

What didn't work? Seltzers. A lot of hard seltzers, right?

With that whole promise of low sugar, low calories and all. That's a great product though. Great packaging.

But my belief is that we're not ready for that yet. I hope we are at some point. Because between...

Third Eye Distillery and Swaminath, we are set up to do this. We have both expertise. So we'll be the first to get into it the moment we think the time is right.

But... In India, Breezer has worked after 10 years of them in the market, eventually working out. Schweppes has a gin and tonic, which is RTD.

I don't think that's doing much. And the seltzers haven't done much because when people want to drink beer or those kind of things, they don't care about calories.

[Speaker 4] (1:53:15 - 1:53:16)

Strong beer, they want strong beer. And that too.

[Speaker 1] (1:53:17 - 1:53:23)

We're a strong beer drinking country. Not even a light beer drinking country. Also consumption, right?

Consumption, straight drinks sell more here.

[Speaker 5] (1:53:24 - 1:53:26)

And that's easy to do, right? Easy to do.

[Speaker 1] (1:53:26 - 1:53:38)

And more people are drinking at home than in restaurants. That's also... That's another side to this.

So... I don't know, maybe in like small sex of population, it might do better.

[Speaker 3] (1:53:38 - 1:53:40)

But not if you see India as a country overall.

[Speaker 2] (1:53:40 - 1:53:44)

In the same market that they live in, craft coffee market, it might do well.

[Speaker 3] (1:53:45 - 1:53:53)

Hard? I think things like hard booze, I think, I mean, I'm very curious. But selling it would be such a challenge, right?

[Speaker 1] (1:53:53 - 1:53:59)

I don't think we are anywhere close to... You'll need a wine license at least. And that's if you get lucky enough to classify it under that.

[Speaker 3] (1:53:59 - 1:54:13)

I think it's a question of not understanding what the hell the product is, Anish. If you ask me, I agree with Nikhil's thesis. If you tell me I can drink booze, I can get at least five, six, seven

percent.

It's low in calories. It tastes decent.

[Speaker 2] (1:54:13 - 1:54:14)

It has good bacteria.

[Speaker 3] (1:54:14 - 1:54:18)

Maybe good bacteria. And it's still sweet enough for me to enjoy.

[Speaker 1] (1:54:21 - 1:54:22)

You drink seltzers?

[Speaker 3] (1:54:23 - 1:54:28)

Yeah. I don't actively, proactively buy it. Yeah.

But if it's there as an option, I would.

[Speaker 2] (1:54:28 - 1:54:30)

But seltzers don't have the bacteria.

[Speaker 3] (1:54:31 - 1:54:31)

Seltzers, yeah.

[Speaker 2] (1:54:32 - 1:54:34)

It's just that, to me, in India...

[Speaker 1] (1:54:34 - 1:55:22)

Here's another... Sorry, sorry to cut you off. Here's another tidbit about bacteria, right?

People say consumption of... Like I said, it's not like if you're eating bacteria, the bacteria is going into your system. That's not how it works.

Gut bile is so strong, it's killing 99% of it anyway. That one percent that goes, yes, might be beneficial to you. If you want to drink good bacteria, a supplement might be a better way to do it.

A more stronger supplement with a lot of other things making your gut more susceptible to doing that is the right thing. But the thing is, what people also are now failing to understand is, if you want good gut health, that's why people keep talking about bacteria, right? You need to eat more

fiber.

Because fiber is food for the bacteria. If your bacteria in your gut is really healthy, there is no requirement for you to put in more new bacteria in it. And that's not how it works.

[Speaker 2] (1:55:22 - 1:55:27)

So you're saying if I eat a cucumber, it's better for me than having a bottle of kombucha?

[Speaker 1] (1:55:28 - 1:55:31)

But your cucumber is not going to give you the same feeling as a Coca-Cola.

[Speaker 2] (1:55:32 - 1:55:34)

No, it's not going to give me the same feeling, but it's better for my gut.

[Speaker 5] (1:55:35 - 1:55:35)

Absolutely.

[Speaker 1] (1:55:36 - 1:55:47)

Absolutely. Eating anything in its rawest, most truest forms is much better for your body than anything else. Fundamentally, yes it is.

[Speaker 2] (1:55:47 - 1:56:00)

But you know, I might be a small proportion of your target audience, but I would probably pick a kombucha with 5% alcohol over a beer. Because everything in life is placebo beyond a point.

[Speaker 1] (1:56:00 - 1:56:43)

We have a very funny story, okay? So when we just opened in 2019, we had this big plan, take over the world, pandemic hit, everything fell flat on its face. The only reason why we survived is because people started ordering kombucha from us directly because there was no beer available.

We somehow managed to get an essential pass. So we were brewing, bottling, and then we used to make very like black tea, slightly bitterish dry kombucha just for these guys who were ordering because they missed a beer. You've done hoppy ones?

Huh? Hoppy? We have a hoppy one, yeah.

We have one with citra hops in it. Oh, nice. Yeah.

You have that here? No.

[Speaker 2] (1:56:43 - 1:56:47)

And did you control the quantum of alcohol in it at that point?

[Speaker 1] (1:56:47 - 1:56:51)

Absolutely. It'll only taste like beer, but it doesn't get you high.

[Speaker 3] (1:56:51 - 1:57:13)

Doesn't get you high at all. Do you think if we did a kombucha together and we tried to do like a unique flavor that corresponded to like cacao or coffee, premiumized it, and then put it into that U.S. market as an export product? As hard?

No. Just as this? Yeah.

That'd do really well. Because it has a story to it, right? Yeah, absolutely.

[Speaker 2] (1:57:13 - 1:57:15)

Like an Indian story of…

[Speaker 3] (1:57:15 - 1:57:20)

Like I was just talking to you about, like if we did like an Indian… Cascara kombucha. Cascara kombucha, cacao kombucha.

[Speaker 5] (1:57:20 - 1:57:21)

Saffron kombucha.

[Speaker 3] (1:57:21 - 1:57:25)

Yeah, we like canned that and export that. We've actually done a couple of those for some people.

[Speaker 1] (1:57:26 - 1:57:34)

It turns out really, really good. Yeah? Cascara, I think, is like so underrated, right?

I don't know why more coffee shops are not focusing on selling Cascara. It's just amazing.

[Speaker 3] (1:57:35 - 1:57:37)

Hard supply chain. Cascara is really hard to make. Hard supply chain.

[Speaker 4] (1:57:37 - 1:57:52)

What is Cascara? It's the fruit of the… I've had it, but what is it?

So coffee is a cherry. So you take the skin of that, which normally gets treated as a byproduct. So you have to process it very carefully because there's a lot of bacteria and microorganisms in it.

And then it becomes like a tea.

[Speaker 3] (1:57:53 - 1:57:56)

And then you can brew it like a tea.

[Speaker 2] (1:57:57 - 1:57:58)

What happens to it normally?

[Speaker 3] (1:57:59 - 1:57:59)

Discard.

[Speaker 2] (1:58:00 - 1:58:01)

Yeah, I guess. They use a fertilizer on them.

[Speaker 3] (1:58:01 - 1:58:20)

So the coffee bean is the seed of the fruit. And then in between there's the skin and then in between there's pulp. Pulp typically will be removed or this process is where it stays on the seed.

But the skin itself, when it dries up, it's like this beautiful like rooibos tea. You know, that's the way I describe it.

[Speaker 2] (1:58:21 - 1:58:32)

So we're going down the same path where I'm a 25-year-old girl, but want to open a kombucha business. And you're going to eventually tell me why I should do it or not do it?

[Speaker 1] (1:58:32 - 1:59:21)

You should totally do it. Because there needs to be... I feel like...

So I define craft with three words, okay? Authenticity, innovation and quality. The more the better.

And that's why craft beverages in general as a segment need to have a lot more players in it. And there is money to be made. If you see, if you look at a shelf, even say at a 7-Eleven in Thailand, the number of options for beverages is just way too many.

And all of them... And I've been going to Thailand a bunch of times over the last five years. And I

see this brand repeat.

It's not like every time I walk in, I see a different brand. It's the same brands again and again, right? But there are just at least five times more brands that there are in India.

And I think we have a much larger population. We have a much bigger appetite for carbonated beverages than most...

[Speaker 2] (1:59:21 - 1:59:26)

You think it's because we have less discretionary spend per capita that there are lesser options?

[Speaker 1] (1:59:28 - 2:01:08)

Maybe, which is why you come back to accessibility, right? With time, you have to make it cheaper for people to be able to make it a part of their daily lifestyle. And that's what Coke and Pepsi have done really, really well, right?

They've played with the food angle. They made sure it's super accessible. They made sure that distribution is great.

They made sure that even after paying 40% in tax, it's 20 bucks, 25 bucks, 10 bucks. What is this 40% in tax? I really want to talk about that bit.

Yeah, yeah. Tell us. Because out of all the enthusiasm in this place...

No, go for it. You should say this. One caution for anyone to get into beverages is to understand taxation in India.

We're taxed at 40%, which is ridiculous. I think we're either the only country or one of the two countries that has such a rule against carbonated and sugar beverages. So if I have sugar and carbonation, I'm at 40%.

If I remove the carbonation, I'm back at 28% or 18% depending on the product. Or if I remove sugar, then I'm at 18%. So it's a very bizarre rule because if I take a Tetra Pak of juice, that will be very harmful in terms of sugar and a lot of how our juice, packet juices and all are.

That is considered as a healthier product. And what kind of taxation? This is on the sale value.

Yeah, on the MRP, right? Your MRP includes the tax. 40% is a very large amount.

When we were launching Swami, that time it was 18% sales tax. We assume that everyone, Yosh Webbs, Pepsi, Coke will increase their prices. Most of them didn't.

They absorbed it. For us, it was a big challenge, right?

[Speaker 2] (2:01:09 - 2:01:10)

But you were at 18%.

[Speaker 1] (2:01:10 - 2:01:11)

It went to 40%.

[Speaker 2] (2:01:11 - 2:01:13)

When we were launching, that time it was 18%.

[Speaker 1] (2:01:13 - 2:01:18)

By the time we launched, it had already become 40%. So it changes your cost card drastically, right?

[Speaker 2] (2:01:18 - 2:01:21)

Because the government applied a tax on Coke and Pepsi, but they just...

[Speaker 5] (2:01:21 - 2:01:24)

They basically put a blanket on it. Which is sweet.

[Speaker 1] (2:01:25 - 2:01:35)

And it's bizarre because again, you can have a Rooh Afza, or you can have a packet juice that can have far more sugar, can do far more damage to you. But that's at a lower tax.

[Speaker 2] (2:01:36 - 2:01:44)

But what happens if you remove the sugar from your tonic, then tonic doesn't sell? What happens if you use a Stevia?

[Speaker 1] (2:01:44 - 2:01:49)

Doesn't matter. Doesn't matter what. It could be anything.

It could be anything. It could be even date syrup.

[Speaker 2] (2:01:49 - 2:01:50)

It could be honey.

[Speaker 1] (2:01:50 - 2:01:54)

If it tastes sweet, it is 40%. Which is just a blank.

[Speaker 2] (2:01:54 - 2:02:04)

What you're saying is you should tax it by virtue of the percentage of sweetness in the drink? Either you have slabs, right? There has to be some method to this.

[Speaker 1] (2:02:04 - 2:02:08)

So this has been done before and it's working really well. UK has a sugar tax.

[Speaker 5] (2:02:08 - 2:02:09)

Yeah.

[Speaker 1] (2:02:09 - 2:02:46)

Now, when they say sugar tax, it's not that... So they have three slabs, okay? Beverage under 5 grams of sugar.

Beverage between, I think, 5 grams. Correct me if I'm wrong somewhere. Beverage between 5 grams and 7.9 grams of sugar. And beverages with more than 8 grams of sugar. Now, they tax these beverages per litre sold, right? Now, for a beverage between 5 grams and 7.9 grams, I think they charge 18 pennies or pence to a litre. And anything after that, I think they do 22 or 25, if I'm not wrong.

[Speaker 2] (2:02:46 - 2:02:47)

I get it. Higher tax.

[Speaker 1] (2:02:47 - 2:04:03)

Yeah, higher tax. And another thing is, people have circumvented this sugar thing also. So for the longest time, you would use apple juice as sugar and not refined sugar.

Or date syrup. And circumvent the thing. So now the government made it a blanket thing that if your product tastes sweet, you don't care what sugar, apple juice, aspartame, whatever you're using, it's 40%.

Sweet means tax. Should it be by virtue of how much sugar or how many calories? It should be sugar.

To me, that can be circumvented like I'm saying, right? So I don't think it should... To me, calories is a much more defining factor.

So here's my two cents on this, right? There was a time when Coke and Pepsi were doing really,

really well. It was like the time of the world war.

Where people needed sugar. Those empty calories, so to speak. They needed sugar.

There was a lot of drought, etc. Which is why this kind of worked. In today's world, we don't need sugar.

What this country's deficit of now is protein. So like I said, I wouldn't go as the effect to say calories per se. But I would definitely say sugar is the enemy.

Sugar can be circumvented. No, I'll use date syrup. I won't say sugar.

[Speaker 5] (2:04:03 - 2:04:04)

Sweet, no.

[Speaker 1] (2:04:04 - 2:04:06)

There you go. Not sugar.

[Speaker 5] (2:04:06 - 2:04:08)

Any sort of sweet.

[Speaker 1] (2:04:08 - 2:04:55)

So I'll tell you what this does. This is just hampering innovation in the country. Because now, if I want to launch a product, I need to work backwards from MRP, right?

I want to launch a product today that I want to scale. So MRP becomes a very defining factor. Now I need to work backwards because 40% of that is going into taxation.

It's a very big component. And till that changes, it's going to hamper a lot of younger people coming into the space, unfortunately. But India is ripe for people to get into this space.

Because again, who are your biggest players? Coke, Pepsi, right? We work, we have so much in our country.

Spices, fruits, produce-wise. But till this taxation is solved, it's going to be tough.

[Speaker 4] (2:04:56 - 2:05:06)

But do you feel like, so it's 200 crore market. To me, it seems from the outside, there's so many kombucha brands. So are new entrants stealing market share or are they expanding the market?

[Speaker 1] (2:05:06 - 2:05:46)

So it's very fragmented, right? There'll be a new player that comes into the market. He knows three or four restaurants that he'll want to sell to.

You know, it's like a peer-to-peer thing, right? You know him, he'll get his kombucha. They will support them.

A lot of restaurants end up making their own kombucha. It's a very, very small number. But it will change.

It's not going to remain the same. This is how, this is essentially, it's all good because the category is getting created. But it will change.

There, you can make dosa vada at home also. But like today, ID is killing it. And there are so many other brands that are coming.

Just like that, it will take that time and it will come to a point where it becomes just another beverage for you to consume.

[Speaker 2] (2:05:47 - 2:05:50)

If I want to start a kombucha brand, how much money do I need?

[Speaker 1] (2:05:51 - 2:05:54)

I started with six lakhs, so you can start with six lakhs. You have to hustle your way through.

[Speaker 2] (2:05:54 - 2:05:56)

Can you articulate the process for me?

[Speaker 1] (2:05:56 - 2:06:35)

Okay. The first thing that we needed to do was... I want to compete with you.

Okay. The first thing that we needed to understand was regulations and legislation. Like you said, taxations and regulations.

Regulation, most important. Keep the alcohol below 0.5%. You have to do that. Understand taxation of your product, depending on how you're manufacturing this product.

If you've got this right, you can create this brand. Next, obviously, is voice, which essentially is, what is the problem that kombucha is solving? And for us, it was very simple.

The problem that we were solving is, we were giving you a better Coke, which wasn't available. It still isn't available. That's the problem that we were solving.

[Speaker 5] (2:06:36 - 2:06:37)

Very less health.

[Speaker 1] (2:06:38 - 2:07:14)

Maybe there is room for a new entrant to come in, to push health as a more objective sort of play to do kombucha. We had a much larger vision of building beverages, which is why we kept talking about sodas and how we are the replacement. We are the next, we're the new kid on the block and we're the next gen soda.

But there is room for a bigger kombucha brand to come and spin that health wave and grab it by the neck and really take it forward. There is a lot of room. It can be done.

But your taxation rules and everything will be very according based on how you produce this product.

[Speaker 2] (2:07:14 - 2:07:53)

What he's saying, he has a point. Like there is a new, better chocolate brand called Super You. Ranveer Singh, the actor's brand.

I like Super You. We're a partner with him. If anybody came in and tried, here's a protein bar with 20 grams of protein, which costs 200 rupees in India.

Didn't really work. But him having come and said, here is a better Kit Kat. It costs 60 rupees, has eight, nine grams of protein.

It's not healthy, but it's healthier. It's flying off the shelves. It's sold out across categories.

[Speaker 5] (2:07:53 - 2:07:54)

Not available anywhere.

[Speaker 2] (2:07:54 - 2:08:08)

I love the cheese. There was slightly savory flavor. Great way to get protein in.

Yeah. So maybe the kombucha story is similar to that story. It's not healthy.

Healthier than what you're having right now. Yeah.

[Speaker 1] (2:08:09 - 2:09:26)

I would say not only kombucha, right? You take the whole non-alcoholic category. So Swami, we started off as mixers.

We saw a very clear white space in the market. There was only Schweppes. Rahul and me, one of my co-founders, we were gin drinkers.

The taste was getting killed. So we would do half Schweppes, half soda. And we realized that there were no homegrown brands in this space.

So that's how we started. But the way our thinking has changed now is that the whole non-alcoholic category and mixers is a part of it, can be so vibrant. And again, it's better for you, right?

Yeah. And there are several categories within. There's gut health.

There's hydration. There can be nutrition, protein. Protein, yeah.

And there's so much to build. Collagen, which as a beverage choice has not even entered the market yet. I'm surprised you said this.

So we constantly have a lot of R&D happening. And for some reason, I've been very thinking of beauty, actually. And we are experimenting with that category as well.

So beverages doesn't just have to be mixers in a kombucha or there's so much can be done in this space. That's a wide open space.

[Speaker 2] (2:09:26 - 2:09:29)

What's happening in places like Japan, Korea and all that?

[Speaker 1] (2:09:29 - 2:09:34)

What are people drinking? Japan is so crazy that if you see how many products Suntory makes.

[Speaker 3] (2:09:34 - 2:09:34)

Yeah, it's insane.

[Speaker 1] (2:09:35 - 2:09:45)

And Suntory is setting up a shop in India now. I think they do about three to five billion in non-alcoholic beverages.

[Speaker 3] (2:09:46 - 2:09:48)

I think the largest manufacturer of RTD coffee.

[Speaker 1] (2:09:48 - 2:10:07)

Yeah, you look at the range. Everything from hydration to energy. Same with Korea.

There's so much innovation in beverages. So there is a lot of innovation to happen. When it comes to beauty, I think Thailand is like up there with vitamin, collagen, the number of supplements.

I just got these collagen little tubes back.

[Speaker 3] (2:10:10 - 2:10:43)

They're not bad at all. I would say one thing, though. The conundrum that always kind of excites me and confuses me at the same time.

Like for your kombucha brand, Nikhil, you have a foreign kind of foreign as an unfamiliar category. We've all discussed that. Primarily, I know you maybe have a couple of flavors that primarily you're also talking about flavors which are largely unfamiliar.

Then you're trying to drive costs down to make it more familiar. But that audience probably isn't familiar with the flavor like yuzu, right?

[Speaker 5] (2:10:43 - 2:10:44)

Yeah.

[Speaker 3] (2:10:44 - 2:11:00)

Or like hops or any of these, like these more foreign. So then it becomes, it begs the question, is creating like Indic flavor profiles the answer? Oh, yeah, definitely.

Most definitely. So what are you thinking? So, I don't know.

Jaljeera kombucha.

[Speaker 1] (2:11:00 - 2:11:01)

Yeah.

[Speaker 3] (2:11:02 - 2:11:04)

That's what I want Nikhil to make. Jaljeera kombucha.

[Speaker 1] (2:11:04 - 2:11:07)

Think of flavors that don't need education.

[Speaker 2] (2:11:08 - 2:11:12)

Ethnic kombucha. And sell it even abroad. Yeah.

It's like why Radico is doing so well.

[Speaker 1] (2:11:12 - 2:11:28)

Exactly. So here's this thing, right? The reason why we don't talk about, why we don't play too much on the health card is because we want to end up building something like this.

The next global Indian beverage. There is a wide space. There is nobody doing it.

[Speaker 2] (2:11:29 - 2:11:33)

What is the current global Indian beverage? Tea? No, thumbs up.

Really?

[Speaker 1] (2:11:34 - 2:11:37)

Nothing. There is no Indian inside. But thumbs up comes closest.

[Speaker 2] (2:11:37 - 2:11:49)

Okay, let's say we five Indians have to sit together and screw. Yeah. What do you think the answer is going to be?

Is it going to be a kombucha? Is it going to be like an Indian tonic? Is it going to be coffee?

[Speaker 1] (2:11:50 - 2:11:53)

Ethnic soda. Slightly functional. Ethnic soda.

[Speaker 2] (2:11:53 - 2:12:02)

Like? I remember back in the day when we were young, we used to have Goli soda. Remember that?

Like there used to be a ball, you push it down and drink it.

[Speaker 3] (2:12:02 - 2:12:02)

Yeah, exactly.

[Speaker 2] (2:12:03 - 2:12:06)

Is there like a bottling lobby in India? Yeah, 100%.

[Speaker 1] (2:12:06 - 2:12:07)

There's a distribution lobby also.

[Speaker 3] (2:12:08 - 2:12:09)

And a canning mafia.

[Speaker 2] (2:12:09 - 2:12:10)

Yeah, I was just going to come to that.

[Speaker 1] (2:12:10 - 2:12:11)

And it's becoming worse now. It's crazy.

[Speaker 2] (2:12:12 - 2:12:19)

Let's go canning mafia because if I'm starting a kombucha, coffee, tonic brand, I'll need to deal with them, right? So I'll tell you our story.

[Speaker 1] (2:12:20 - 2:12:50)

We from day one manufactured ourselves. We didn't go the contract manufacturing way, which is usually the norm everywhere. And there were a couple of reasons for that.

One is that we wanted full control on the product, not give our recipes out. And in India, whatever Indian all you might sign, one recipe can go wherever, right? You can do jack about it.

Second thing is that today, that lobby is becoming tougher and tougher. So a lot of your bottlers are being bought over by bigger guys.

[Speaker 2] (2:12:53 - 2:13:47)

And... Some listed large players are doing very well. And somebody told me it's a deal of relationship with local politicians who gets the bottling in that area.

Yeah, yeah. And it is going to only become tougher and tougher. Yeah.

Why is that? Like, there's a large listed company I was reviewing and they said, their mode is the fact that their political connections locally at panchayat level, MLA level, all of that will not allow for real competition. Why does the bottling industry work like that?

Not only that, go to raw material. Now with Canon... No, tell me first about bottling.

So, it's just money, right? It's just so much money at stake. Is it the collection of the bottles?

Like if I sell Coca-Cola in a bottle, the user is not paying the cost of the glass. But it is dependent

on whoever drinks it, returning it and then collecting it.

[Speaker 1] (2:13:47 - 2:14:05)

No, that's not coming back. They're trying, but that's not going to happen. So the biggest raw material will be your glass bottle.

Actually, a can costs the same amount. That's our largest cost, yeah. So if I can give you our economics, my bottle would be about 8-9 rupees.

If I did a can, it'll cost the same. It'll only save me on... Freaks.

[Speaker 2] (2:14:06 - 2:14:07)

Same for you, 8-9 rupees?

[Speaker 1] (2:14:07 - 2:14:18)

Yeah. And this also you will beg borrow for them to give you quantities, smaller quantities, because they will otherwise not talk to you. Luckily, we're at a scale where that's...

[Speaker 5] (2:14:18 - 2:14:18)

Who is they?

[Speaker 2] (2:14:19 - 2:14:22)

A bottle manufacturer. Who is the bottle manufacturer?

[Speaker 1] (2:14:22 - 2:14:25)

There are many. There are three, four big players.

[Speaker 2] (2:14:26 - 2:14:26)

Who are the big ones?

[Speaker 1] (2:14:26 - 2:14:31)

There's Spiramal, there's Sun that we use. There's ADP in Hyderabad.

[Speaker 2] (2:14:32 - 2:14:36)

So wait, you're telling me you will go to them and say I want a million bottles, they won't give you?

[Speaker 1] (2:14:36 - 2:14:47)

No, they'll give you. Million, they'll give you. The problem is getting a small quantity of it.

See, that's the thing. If you're a 25-year-old starting this business, that becomes really hard because what are you going to do with a million bottles?

[Speaker 2] (2:14:48 - 2:14:51)

So you're saying if you want a thousand bottles, they won't give you? If you want a thousand bottles, they will never give you.

[Speaker 1] (2:14:51 - 2:15:01)

My advice would be... Actually, this is a double-edged sword. Do you launch a product in a glass bottle or a can or an alternate packaging, right?

A Tetra Pak or a pouch or something.

[Speaker 5] (2:15:01 - 2:15:03)

Tetra Pak is good for the planet.

[Speaker 1] (2:15:03 - 2:15:27)

The reason we did glass bottles because it was cheaper, it was easily accessible. And the technology required to fill it was a lot less cheaper and it was very easily... It was a proper do-it-yourself project for us to crack.

Canning, you can't say the same. Canning is super technical. It's very hard.

I'm sure he has some experience and you have some experience doing production. No, I don't see that much of a difference. But again, procuring canning...

[Speaker 2] (2:15:27 - 2:15:31)

If anybody can go get bottled if I have a big order, what's the mafia then?

[Speaker 1] (2:15:32 - 2:15:43)

Now, a lot of your bottlers or contract manufacturers are being bought over by bigger companies. So, they may not even manufacture for you anymore. Because their entire allocation will be to a particular brand.

[Speaker 2] (2:15:44 - 2:15:46)

Is it that hard to make glass bottles if you have to do...

[Speaker 1] (2:15:46 - 2:16:30)

No, I'm not talking about glass bottles. I'm not talking about... End product packaged in a glass bottle.

I today want to make a tonic water, right? I'll go to 4-5 contract manufacturers and say, I want a rosemary tonic water. They'll make it for you.

They'll do everything for you. But the same guys are making something for a Red Bull. They're bottling for a Red Bull or some other company or Budweiser's energy drink or whatever.

Those kind of players are now being bought over by bigger beverage companies. So, they may not even be available for you to contract for them. That is what is starting to change.

I've never faced this when we've gone outside looking for third-party manufacturers, so to say. But I've heard of stories. But I've never...

But I've genuinely never faced it myself.

[Speaker 5] (2:16:30 - 2:16:30)

It's a recent phenomenon.

[Speaker 1] (2:16:30 - 2:16:45)

Where they've denied me of... Yeah, where they've denied me of manufacturing, let's say. Don't come.

I think it's... I think it's easy to start a beverage brand. You can tell by the number of energy drinks that have popped up in the north of India.

Way, way, way, way, way, way too many.

[Speaker 2] (2:16:45 - 2:16:47)

But they're from incumbent corporations.

[Speaker 1] (2:16:47 - 2:16:48)

Yeah, yeah, yeah.

[Speaker 2] (2:16:48 - 2:16:51)

Nobody new has come up with an energy drink.

[Speaker 1] (2:16:51 - 2:17:28)

I won't do energy. If I was to rethink everything and I'm 25 years old and I want to get into the

beverage industry, I would completely rethink from a very fresh perspective. Because I think energy is not...

It's a very tough nut to crack. And you've got two ends of the spectrum, right? Either Red Bull or you have a Sting now.

It's very difficult to compete on either ends. So energy will be... If you have an energy drink at 95 rupees, you have an energy drink at 20 bucks.

How did Sting do it? 20 bucks. It's cheap.

And distribution. It's cheap. It's so cheap.

Who owns Sting? Sting is...

[Speaker 5] (2:17:28 - 2:17:28)

It's Varun Beverages.

[Speaker 1] (2:17:29 - 2:17:32)

You're... It's PepsiCo, no? It's Varun Beverages.

Pepsi. It's a bar there.

[Speaker 2] (2:17:33 - 2:17:38)

So they did it because of the means they have. A small 25 year old like me will not be able to...

[Speaker 1] (2:17:38 - 2:19:12)

No way. I don't think a small 25 year old can ever make a beverage under 80 bucks or 90 bucks. But you know, a lot of people are consuming Sting.

Firstly, it's a 20 rupee product. Now again, extrapolate. 40% tax.

This, this, this. What's the worth of the liquid inside, right? Nothing.

Can't be high quality liquid. You're putting that in your system day in and day out as a meal replacement. A lot of people are doing that.

And somewhere that's gonna... It's gonna screw with your system. People are using it as a meal replacement.

A lot of people are... A lot of their audiences that 20 rupees... It's a lot of blue collar workers who are using that as a means to get their energy.

The guys who are doing hard labor, so to say. This is something that they're using. Auto drivers, construction workers.

The consumption is a lot in that sector. If I look at the full beverage space in India, this includes coffee. I think all the bigger brands...

Today when I landed in Goa, I went to Relay at the airport. Saw what beverages they had. There's a cold brew by a big Indian coffee company that you would normally trust.

Turn the label around. The cold brew in a can has coffee flavors added to it, right? So, to me in India, all the bigger players will not actually innovate.

They will try and do everything to cut their costs down. Hoping that a consumer is not careful enough to even look at the back label. And I think there is a lot of scope to build out cleaner brands in India.

[Speaker 2] (2:19:12 - 2:19:24)

So, say we are all starting independent brands. You four, including me, the 25-year-old. How do we get people to pick us over them?

And I don't mean the rich. I mean like more people.

[Speaker 1] (2:19:25 - 2:19:28)

I think branding story will play a...

[Speaker 2] (2:19:29 - 2:19:31)

But if they have more marketing money, how do you compete with...

[Speaker 1] (2:19:31 - 2:19:44)

I don't think about marketing money anymore. And this was my thing about a coffee shop. A lot of people, I would dream to open a restaurant.

I think at some point, my dream is to open a coffee shop. And...

[Speaker 3] (2:19:44 - 2:19:45)

Are you going to work with him or me? Yeah.

[Speaker 1] (2:19:46 - 2:20:42)

I'll work with both of you, of course. But to me, the excitement there is that I today can, I think, compete with a Starbucks and offer a better experience because I understand the consumer. I

understand this country and the people that an international brand may not.

And they will have an agency working for them and they'll have some market research working for them and so much, so many other things in the system that you actually may not really know your customer. Today, as a 25-year-old, you have a fresh start. Think what's happening in your ecosystem, right?

If alcohol is on the lower side of things, and that's another debate and conversation to be had, what do people want to drink? People want to drink or consume a product that has a legit story. And beyond a point, you will see through marketing fluff.

[Speaker 5] (2:20:42 - 2:20:43)

Yeah.

[Speaker 1] (2:20:43 - 2:21:01)

Every brand, and this happens on the internet right now, right? Right from a clothing brand to an underwear brand, the most comfortable underwear ever. Everyone says the same thing.

The most comfortable black t-shirt ever. Everyone will say the same thing. But at some point, your genuine storytelling and your product have to differentiate.

[Speaker 2] (2:21:02 - 2:21:06)

If I were to start a coffee shop, after all that you've heard, what should my story be?

[Speaker 1] (2:21:08 - 2:21:53)

I can tell you my story. If I was to start a coffee shop, as much as I think that a lot of people may not care about the roaster and the farm, I would put together a very solid collection of about five, six beans on rotation. I would focus a lot more on pour-over coffees and maybe coffees on tap, like nitro coffee.

I think that's a great product. You feel like you're having a Guinness, a well-made nitro brew. I would have a concise coffee menu, food menu, but I would have really good music.

Really good music starting in the morning. If you walk into a...

[Speaker 5] (2:21:53 - 2:21:54)

Like banging music.

[Speaker 2] (2:21:54 - 2:22:16)

Banging music. I want energy. Tell us a bit about your business, Anish.

Now we know that coffee, these boys have the biggest market, which is about projected 1.2 billion dollars soon. Craft coffee. His market is 200 crores.

How big is your market? So my market is...

[Speaker 1] (2:22:16 - 2:22:17)

Hey, you gave me the numbers.

[Speaker 5] (2:22:17 - 2:22:18)

Say it again.

[Speaker 1] (2:22:18 - 2:22:29)

For the non-alcoholic beverage, okay? This was 1,376 billion rupees.

[Speaker 2] (2:22:31 - 2:22:32)

It's a very complicated number.

[Speaker 1] (2:22:32 - 2:22:36)

Yeah, it's a very complicated number. That's the data that was shown to me by the computer.

[Speaker 2] (2:22:36 - 2:22:44)

So that's like 1,37,000 crores, about 20 billion. 17, 18 billion.

[Speaker 1] (2:22:44 - 2:22:45)

Yeah, about 20 billion.

[Speaker 2] (2:22:45 - 2:22:46)

Could it be that big?

[Speaker 1] (2:22:46 - 2:23:02)

It would be that big, but I would never ever start for myself or advise someone to start a tonic water company. Like Swami is not a tonic water company. We're a non-alcoholic product company.

But your drinks that go with alcohol?

[Speaker 2] (2:23:03 - 2:23:30)

Yes, the majority portfolio currently are mixers. I love the name, by the way. Thank you.

Yeah, it's very cool. Like I have this similar story in a friend of mine called Abhishek who runs Radico, where I'm an investor. I love the fact that here is an Indian making Indian whiskey, which is not aged.

And people in international airports are picking up that non-aged whiskey and paying more money than a Glenfiddich 12-year-old bottle.

[Speaker 1] (2:23:30 - 2:23:55)

I love that too. And right now is the moment for Indian whiskeys, right? So a couple of markets that we export to, we were very clear that our product cannot be cheaper on at an MRP level than any other product.

Even if I'm landing cheaper, even if it works out like that, you take more margin, give the shop more margin, but I'm not going to be a cheaper product on an international shelf.

[Speaker 2] (2:23:55 - 2:24:12)

Why is that? Because that perception that India, Indian product will be a cheaper product has to go. Do you think all perception is price?

If something costs you 20 rupees to make, you can sell it at 50, 100, 200, 300, whatever. It's all perception.

[Speaker 1] (2:24:13 - 2:24:21)

I think a large part is perception. Just to be very clear, not that we are doing that perception. We are as modest on gross margins as we can be.

[Speaker 2] (2:24:22 - 2:24:22)

What is your gross margin?

[Speaker 1] (2:24:23 - 2:24:49)

We are at about 60% with our own production. But at an international level, I was talking about because whiskies came up, right? I don't want to see an Indian brand cheaper than a Glenfiddich.

Why should it be? In fact, if anything else, it is more craft in a lot of ways. It should be more expensive.

Why is a Stranger and Sons? A Stranger and Sons will be more expensive than a lot of gyms in the UK. And they should be.

Why should they be cheaper?

[Speaker 2] (2:24:49 - 2:24:55)

And why should they not have Indian names like Farmi? Why should it be Stranger and Sons? Who is Stranger?

So, Stranger and Sons went with...

[Speaker 1] (2:24:58 - 2:25:30)

Funnily enough, the name is pretty much almost by the same team. Like, I think Swami's name. We went through a lot of iterations with Swami's name.

I have a very good story now that, you know, we wanted one word Indian, not more than two syllables, something a waiter could say easily. Export friendly name, some connotation, but not very colonial or old school. And that's a very good story till you realize that we went through 10 names.

And we were so frustrated about names that Rahul, my co-founder, also started Stranger.

[Speaker 2] (2:25:30 - 2:25:34)

What were some of the other names you went through? Give us one or two. One.

[Speaker 1] (2:25:36 - 2:25:39)

I'll give you the most bizarre one. Space goat.

[Speaker 3] (2:25:40 - 2:25:43)

You can use goat. Yeah. Nice.

Correct?

[Speaker 2] (2:25:43 - 2:25:44)

Because you space out.

[Speaker 3] (2:25:44 - 2:25:46)

We had a similar thesis around the nomenclature.

[Speaker 5] (2:25:46 - 2:25:47)

Yeah.

[Speaker 3] (2:25:47 - 2:26:49)

I think we spoke about this when we did like an interview as well. I think to your point, Nikhil, so Subco is kind of like portmanteau, like play on words, right? So short for subcontinent to define the region and means for everyone, for all in like multiple Indian languages.

And I was just going to bring up, not to cut you off, but, you know, I just realized like one of the most interesting beverages that people found from us ever was a Rooh Afza cold brew. That sounds good. So we made that.

And it was like a bit of a shot in the dark, right? We'd seen things like, I don't know, 40 infused sourdough bread do really well in the cafe. So we're like, okay, how do we apply this to beverage?

And then so we started creating stuff like Rooh Afza cold brew, for example. And it latched on because I think if the positioning is contemporary, nostalgic, global implication, all together in one place, which I think Swami has achieved as well, like I think it definitely can work.

[Speaker 2] (2:26:49 - 2:26:55)

So we've been very... How big is Swami now? Just for context.

Swami should do about 30-35 CR next year.

[Speaker 1] (2:26:56 - 2:27:42)

Right. Looking at that. We are very pro-India in terms of our provenance.

So not only the name, look at our label. So usually tonic water would be this soda right now, but tonic water would be Indian tonic water, right? What is tonic?

Where did that name come from? So basically, malaria was a big issue. From quinine, right?

Yeah. And the Britishers realized that quinine is one cure for malaria. I think for a good 150 years, it was the only known cure for malaria.

So they had to have those tablets as part of their rations to not get malaria. They would add it to their gin. Too bitter, you added sugar.

And that's a rudimentary gin and tonic right there.

[Speaker 2] (2:27:43 - 2:27:49)

So tonic is quinine and sugar? At a very base level, yes. Quinine is what?

Salt, high sodium water?

[Speaker 1] (2:27:49 - 2:27:53)

No, quinine is from this tree. It's a bark of a tree.

[Speaker 2] (2:27:54 - 2:27:54)

Really?

[Speaker 1] (2:27:55 - 2:28:28)

It's called cinchona. And they extract quinine from cinchona. And in fact, we did a lot of trials about which quinine to use because you also have in India, you have in Burma, you have multiple places.

But the story of gin and tonic is from India. And that's why Indian tonic water is the name. On our bottles, we don't say Indian tonic water.

We say tonic water from India. On our front label, like this says soda water from India. We want to say we're from India and we're very proud about that.

[Speaker 5] (2:28:28 - 2:28:28)

Right.

[Speaker 1] (2:28:29 - 2:29:15)

So with Swami, the name to everything has been very pro-India that we're proud of our provenance and why shouldn't we be? There is so much here to build on. But in terms of business, mixers is one part.

I would not... I would advise anyone wanting to get into this space, to think of a much larger ecosystem of beverages. Don't only think mixers.

Don't only think kombucha. It's very hard to get into this. You have everything to play around with today.

So what are you doing tonic then? Soda? So our core range is mixers, which is your tonics.

Ginger ale can be both. Lemonade can be both. We have a lemonade that...

To me, fresh lime, sweet and salted is the national drink of India.

[Speaker 5] (2:29:15 - 2:29:15)

Yeah.

[Speaker 1] (2:29:15 - 2:29:28)

Most consumed beverage, I think. Same. At every level.

So we did one version of that, that's slightly more elevated at a 55 rupee price point. Eventually at scale, we want that to come down to about 40. That'll be a better price point.

[Speaker 2] (2:29:28 - 2:29:33)

So what is the problem you're having? You're competing with the club soda, the Bisleri's who are selling it 25 rupees.

[Speaker 1] (2:29:34 - 2:29:49)

So soda is not a problem because largely soda will be a cheaper product. How much is your soda? Our soda is 55 right now, but in a bigger packaging and all, we'll get down to 35 to compete with your Bisleri's and all.

[Speaker 2] (2:29:49 - 2:29:52)

But what is the differentiation in soda if it's carbonated water?

[Speaker 1] (2:29:52 - 2:30:04)

Take a sip. Get a glass. The amount of work we've done on the water profile of this...

Can I try? Actually, I drink a lot of soda. It's a little...

It won't be cold right now.

[Speaker 2] (2:30:05 - 2:30:15)

It doesn't taste... You know that almost bitterness that comes with the other soda? This is lesser.

And it's not as bubbly either.

[Speaker 1] (2:30:15 - 2:30:19)

We worked on the water profile so much on this, right?

[Speaker 2] (2:30:20 - 2:30:29)

So if I want to start a tonic brand or a soda water brand and I want to create a differentiation, what can it be? Flavor? Such a commoditized...

[Speaker 1] (2:30:29 - 2:30:31)

Flavor is where you create the most amount of difference.

[Speaker 2] (2:30:31 - 2:30:33)

It's very minute flavor changes, right?

[Speaker 3] (2:30:33 - 2:30:35)

No, not really. I would create...

[Speaker 1] (2:30:35 - 2:31:00)

So I... So what we've done with Mosant is we know Swami is sort of the market leader in the craft tonic sort of space. So what we've done is we've tried to do something completely opposite from them to stand out, right?

We've done a spicy tonic water which is sort of the first tonic water that's catered to a tequila. Not necessarily a gin. We've done a rosemary which is the most savory.

There is only one other brand which is...

[Speaker 2] (2:31:00 - 2:31:01)

One of our first products was a rosemary product.

[Speaker 1] (2:31:01 - 2:31:02)

Oh really? Did you launch it?

[Speaker 2] (2:31:02 - 2:31:05)

You guys also competition in some ways. With this one segment?

[Speaker 1] (2:31:06 - 2:31:18)

Yeah. Maybe more to come in the future. Very fun.

Again, I will happily promote any other homegrown brand as long as I can get someone to move away from our Schweppes.

[Speaker 2] (2:31:18 - 2:31:26)

No, I'm with you. Like I'm the biggest proponent of homegrown brands ever. I will go to the extent of paying more for an Indian brand if I could.

[Speaker 1] (2:31:27 - 2:31:59)

The other challenge and this again comes down to pricing because even your quick commerce today, right? As a new brand, they will eat you up. It's tough.

It'll be tough. There have been times when they'll ask you for a 50% commission. So between your 40% GST and your 50% commissions are good luck.

Glass is always greener on the other side, right? They'll give you volumes that nobody else can give you as a new entry. Because you're not you're not you're not pitting against shelf space.

You're pitting against thumbnails. That's a big difference. It makes a makes a it makes a huge change.

[Speaker 2] (2:31:59 - 2:32:23)

Is quick commerce sustainable? I asked the same question to my friends who run restaurants. I'm reviewing the industry from a investor use case.

It didn't work in the West. The West went the way of big box retail. Quick commerce had like a tiny spike, but it died.

I'm trying to figure out if it's going to be different in India. I think the moment It's sheer volume, no?

[Speaker 1] (2:32:24 - 2:32:34)

But debatable. It's just like I just think the moment quick commerce and right now a lot of them are behaving that way that we will be our discovery. Then they own you.

[Speaker 2] (2:32:35 - 2:32:37)

Then they'll start competing brands. Yeah, yeah.

[Speaker 1] (2:32:37 - 2:32:50)

So they always do that. So they will come to brands that are doing well. Like if you're an established brand, there's more reason for them to take you.

If you're a newer brand, they totally can squeeze you, right?

[Speaker 2] (2:32:50 - 2:32:53)

And they've had the same playbook with restaurants and you guys have seen it.

[Speaker 1] (2:32:53 - 2:32:59)

I think they will also now get into seeing which category and which product is doing well and start

by labeling the same.

[Speaker 2] (2:32:59 - 2:33:03)

But Amazon has done that for years. And so I expect otherwise.

[Speaker 3] (2:33:03 - 2:33:24)

So I feel like slightly opposition to this. I feel like unfortunately for us, it will very much stick around and dominate because if you look at the US, which I'm familiar with, people have been ordering groceries, let's say, in the US online for like a decade now.

[Speaker 2] (2:33:24 - 2:33:25)

But not getting it in 10 minutes.

[Speaker 3] (2:33:26 - 2:33:45)

No, never, right? But the behavior that they got used to and adapted to was that it was okay to order the day before, right? Whereas in India, it basically went from not really ever ordering groceries online to immediately ordering it and getting in 10 minutes.

Yeah. So I feel like now the consumer expectation is for that to be the norm.

[Speaker 1] (2:33:46 - 2:33:48)

I'm not saying QuickCommerce is going anywhere.

[Speaker 2] (2:33:48 - 2:34:14)

In fact, for my product, to me, Amazon doesn't make much sense. QuickCommerce makes all the sense. But if they keep charging you 30, 40, 50 percent and you pay 40 percent taxes, same for restaurants.

Yeah. 30 percent to be listed, 10 percent on the carousel, 5 percent for something else. Then marketing spends.

And then they have all your data. You don't know who your customer is. If they know the customer better, they can build a more suitable product.

[Speaker 1] (2:34:14 - 2:34:17)

But that's the whole point. You have to build your brand on your...

[Speaker 2] (2:34:18 - 2:34:19)

Own distribution. Yeah.

[Speaker 1] (2:34:19 - 2:35:49)

Not distribution. Let's go back a few years. In every investor conversation, I would open the conversation by saying, I'm not a D2C brand.

I'm not aspiring to be a D2C brand. India is largely offline for these kinds of products. We're an offline market.

And to me, QuickCommerce is also that. It's a physical... It's a dark store, sure.

But it's coming to you from a close by place, right? Not from a... Not a next day delivery or a two, three day delivery from an Amazon or a website.

People don't buy alcohol in advance. Most people in our country. Forget buying mixers one week in advance or three days in advance.

So QuickCommerce makes a lot of sense because I would have had to go run to a shop to buy the product. Now I can get it delivered. If you're a more established brand, QuickCommerce will be absolutely fine for you.

But if you say that I will build my brand today on QuickCommerce, to me, that is the issue. You still have to build the brand yourself. You have to get customers.

You have to get people to talk about it. Whether you do that via collaborations, whatever your hacks might be. But don't think that you'll build it on the back of QuickCommerce because then they can shut you down as soon as they want to as well.

I differ from this, right? But for something like our product, the category had to be built. Now category for a product which is 130, which is sold in a glass bottle, you're better off having it delivered to your house rather than going, picking up at a shelf, putting a heavy thing in your bag.

[Speaker 5] (2:35:49 - 2:35:50)

Same, same, same thing.

[Speaker 1] (2:35:51 - 2:36:28)

I'm saying, but that's the thing, right? And kombucha as a product for us is something that you drink. It's a habitual usage, right?

Just like your eggs in the morning. Continual consumption essentially becomes like your eggs in the morning where you're ordering your groceries, your standard dry provisions and you're ordering like a couple of bottles of kombucha. I wasn't saying that.

What I'm saying is, let's say you're doing really well in Bangalore, right? On a Blinkit. I'm a new player starting a kombucha brand.

And he decides to do the same thing. And what point will Blinkit keep five brands of kombucha? They won't do it.

[Speaker 5] (2:36:28 - 2:36:29)

They won't. That's what I'm saying.

[Speaker 1] (2:36:29 - 2:36:29)

They won't do it.

[Speaker 2] (2:36:29 - 2:36:30)

It was very hard to crack that market.

[Speaker 1] (2:36:32 - 2:36:44)

So that's what I mean. The moment I'm relying on them to build my brand, that's, to me, the end of things. I can't build my brand.

That's where craft comes into play. That's where authenticity in manufacturing comes to its place.

[Speaker 2] (2:36:44 - 2:36:49)

So in a way, all of you are selling a story. The story is partly your face.

[Speaker 3] (2:36:50 - 2:36:51)

Yes, we are selling a story.

[Speaker 2] (2:36:51 - 2:36:55)

The cultural connotation of it. That's essentially what you're selling.

[Speaker 1] (2:36:55 - 2:36:59)

Product quality and story. Basics. It's not rocket science at all.

[Speaker 2] (2:36:59 - 2:37:04)

But product quality will kind of get democratized and commoditized, right?

[Speaker 3] (2:37:05 - 2:37:12)

I don't know, Nikhil. I don't think so. Till today, I don't know anything about the market share that Schweppes has.

But I assume it's like 95%.

[Speaker 5] (2:37:12 - 2:37:13)

Yeah, yeah. Of course.

[Speaker 3] (2:37:13 - 2:37:32)

95% or more. I don't know. I presume.

I mean, the incredible innovation that these guys are doing in flavor and a few other brands in India are doing in flavors of tonic, for example. I mean, surely at some point that moat that Schweppes has will be broken.

[Speaker 1] (2:37:32 - 2:37:37)

I don't know. The only moat Schweppes has is distribution because of Coca-Cola. That's exactly the only moat.

[Speaker 3] (2:37:38 - 2:37:39)

Yeah, that's it.

[Speaker 1] (2:37:39 - 2:37:51)

But it will not take longer for us. For us to start off, quick commerce was great. We have to get into more offline.

We have to get into more retail. If I want my brand to be built, I have to get into more restaurants. Horeca and QSRs are where the restaurants...

[Speaker 2] (2:37:51 - 2:37:56)

Do you think the market for craft then, which is all of you, is more offline than online? 100%.

[Speaker 1] (2:37:56 - 2:37:58)

100%. 100%.

[Speaker 4] (2:37:58 - 2:38:04)

Without a cafe, it's very difficult to have a coffee brand without a cafe. We've built our brand via Horeca.

[Speaker 1] (2:38:04 - 2:38:08)

Yeah. Right? Swami's first point of discovery would be a restaurant or a bar.

[Speaker 5] (2:38:08 - 2:38:09)

Horeca is what?

[Speaker 1] (2:38:09 - 2:38:11)

Hotels, restaurants, cafes.

[Speaker 2] (2:38:12 - 2:38:22)

If there is no identification in a place like that, your favorite restaurant serving one or two of these products... So you're saying for craft, for someone starting off, it has to be offline.

[Speaker 1] (2:38:23 - 2:38:27)

I wouldn't say just craft, for a brand in general, at least when it comes to beverages or food.

[Speaker 3] (2:38:27 - 2:38:31)

Unless you're playing with price. Unless it's a race to the bottom, then maybe not.

[Speaker 1] (2:38:31 - 2:38:46)

But how much of a race to a bottom in this segment and in this category with this taxation? True. It just can't.

I also have very different views from a lot of people about performance marketing and stuff. What do you think? That is just...

It doesn't work.

[Speaker 5] (2:38:46 - 2:38:47)

See the way he's...

[Speaker 1] (2:38:47 - 2:39:34)

You love this. You love this topic. Thank you.

It's absolute trash. It doesn't work. Because...

Agreed. The other thing is, you'll get an agency. Okay?

Let me be... I cannot state this enough. 99 out of 100% of performance market agencies are

going to do the same thing.

Yeah. Right? They don't understand your product.

Everyone's going to talk the same language. What I said earlier. Right?

Performance marketing, building a brand on that, I think is dead. It's not going to build long term. Not brands that last 20, 30, 40, 50 years.

It's not going to be... And the unfortunate part is the quick commerce platforms are now getting to do this amongst the brands. So the three brands of kombucha that will be there, we'll be fighting against each other for the same bloody keywords, for the same everything.

Yeah. But there's only one winner. The house always wins.

[Speaker 2] (2:39:34 - 2:39:36)

Don't you pay the quick commerce to be listed higher?

[Speaker 1] (2:39:37 - 2:39:39)

So that's what I'm saying. There are only three kombucha.

[Speaker 2] (2:39:39 - 2:39:42)

How much higher up are you going to go? Marketing independently with them.

[Speaker 1] (2:39:43 - 2:39:47)

With them. With them. I mean, for us, it's predominantly with them because it's a large chunk of...

[Speaker 2] (2:39:47 - 2:39:58)

Since you're in this industry, I'll ask you. If you could buy Zomato, Swiggy, or Zepto's shares today, knowing that quick commerce is their growth driver as of today at least, would you?

[Speaker 1] (2:39:59 - 2:40:01)

I have. I have to.

[Speaker 2] (2:40:01 - 2:40:03)

Yeah. What would you buy?

[Speaker 1] (2:40:03 - 2:40:03)

Swiggy.

[Speaker 2] (2:40:04 - 2:40:07)

Both. Would you?

[Speaker 1] (2:40:07 - 2:40:07)

Zomato.

[Speaker 5] (2:40:08 - 2:40:08)

Yeah.

[Speaker 2] (2:40:10 - 2:40:10)

You too, Rahul?

[Speaker 1] (2:40:11 - 2:40:12)

No.

[Speaker 2] (2:40:12 - 2:40:13)

No?

[Speaker 1] (2:40:13 - 2:40:16)

What about you? That's the most important question.

[Speaker 2] (2:40:16 - 2:40:16)

I haven't.

[Speaker 1] (2:40:16 - 2:40:29)

See, the thing is, someone has to pay, right? Every company that's going public will have the pressure to perform in terms of pat and all of that stuff. That's my point.

[Speaker 2] (2:40:29 - 2:40:30)

But then you're buying the stock.

[Speaker 1] (2:40:31 - 2:41:10)

As a new brand. Because they will make the money. I'll tell you who will suffer.

A lot of new brands will suffer. Because the moment this mentality comes in there, listen, I don't care. I have to make this much money on this quarter.

You will squeeze more ad revenue and you will bully smaller brands. It's a very natural process. So, why I'm bringing this up is that if you're a new brand, please don't just think that you'll build it on quick commerce.

It's not going to be just that. I agree with you. You're saying that while you're on quick commerce.

Yeah. He's established. So, he has the market share.

But I'm available at most of the good restaurants in the country also, right?

[Speaker 2] (2:41:10 - 2:41:23)

I'm not solely relying on them. And what is your pitch to a restaurant? Say, I start a tonic brand.

You said, Horeca is the word. I go to Horeca and say, put me on. Do I have to give them higher margins than a Bisleri?

[Speaker 1] (2:41:23 - 2:42:04)

And I'll tell you the actual journey. Exactly what happened with us. So, we're three partners who started Swamy.

Me, my brother-in-law and Rahul. Rahul also started Stranger & Sons in 3rd Digestive. Between Rahul and I, we had enough contacts in the restaurant space.

So, we knew that if we launch a product, everyone will do a tasting with us. Now, whether they just indulge us by ordering once and then not ordering again is purely going to be on the basis of the quality of the product. We would literally go restaurant to restaurant, open a Schweppes, open a Swamy.

I'll let you taste and tell me. As simple as that. There was nothing more required.

[Speaker 2] (2:42:06 - 2:42:16)

Because the taste was so different. So, you're saying if I start a tonic brand and I get it to taste better than Swamy, I should go to all the restaurants you are, open yours and mine and take a bite.

[Speaker 1] (2:42:16 - 2:44:05)

Yeah, 100%. I'm already doing it. It's the truth.

It's the truth. I mean, it is the truth, right? I mean, at the end of the day, we are competing with each other and we have to do this.

And we also market it on differentiation. One is obviously taste, right? And it's subjective.

Like some people like it. Some people like it. Some bartenders like the fact that it's less bitter.

Some bartenders don't like it that it's not as bitter as Swamy. Some bartenders don't prefer both because they like the bitterness in Schweppes and they've, you know, sort of tailored all their cocktails to be that way and it's engineered to be used with the Schweppes. See, there are many other factors that go in, right?

So, that's one level compared to how we got ourselves into restaurants. We taste the product. It also sometimes didn't work.

For example, Delhi did not work. Delhi was like, where's the sugar? They don't want to change.

So, initially, all our products were half, almost half the sugar of Schweppes. Then we launched what we call the original tonic water. That was a little more sugar.

Are you beating them on price is the question? No, cannot beat them on price. I don't want to either.

I can't. So, I feel in that sense, sugar becomes very secondary. Because Delhi is like, it's that market, right?

And this is not any bar. This is the biggest bars. You name them having the best cocktail game, I won't take some names.

Big names. No, I don't want to. No, I'll come to price.

Tomorrow, I have to go and force them and sell them my kombucha, my tonic again. Or at least my kombucha on some spectrum. But anyway, that being said, some of the best, okay?

They said no to us because straight away, they were like match swept. There are two reasons why we can't do it. One is, there are two very different products.

Quality-wise and flavor-wise and how they're manufactured.

[Speaker 5] (2:44:05 - 2:44:08)

Bro, I was talking about sugar.

[Speaker 1] (2:44:10 - 2:45:30)

Just one more. We'll come to price. About sugar.

Delhi was a rude shock that everyone doesn't want a less sweet product. And if you're trying to build a larger business, one of the learnings very early on was that every... A niche is not 100% of India consumption, no?

So, every product in my portfolio can't be my favorite product. I have to build for different tastes. So, that was the other thing we had to do.

We had to build something like a original tonic water that got us more acceptance, at least in North. That changed a lot for us. Now, in terms of pricing, we've had this multiple times where an international brand has come into India and their pitch literally has been Veeramath Swamy's pricing.

And they've not displaced us. And that is because a lot of consumers will ask us by our name. And that's the difference.

If you are served a Schweppes and you ask the bartender, but don't ask Swamy, my job there is done. I'm sure that restaurant will negotiate with me for a month, two months, three months. Eventually, keep me because people are asking.

And our thing is very clear. Don't replace Schweppes. Keep me as an upgrade, no?

You keep Schweppes at Rs. 110 on the menu, keep me as Rs. 130, Rs.

150. Bombay Canteen, a lot of people, everyone does that.

[Speaker 2] (2:45:30 - 2:45:48)

I'm not here to replace. Just put me as an option. Is there a deal you can make with the restaurants where you give them more upside than a Schweppes?

Yeah, of course. But how much will you fight the Coca-Cola? No, I'm saying that, say I go to the NRAI or I go to a Riaz or a Zoravar, all sweet guys.

[Speaker 1] (2:45:50 - 2:45:52)

And I say... Sweet guys till procurement comes into play.

[Speaker 2] (2:45:53 - 2:46:07)

And I say, Riaz, you put Swami in all your restaurants, I'll give you 5% of the upside in the brand as sweat equity. Is that something I can do as a 25-year-old tonic brand?

[Speaker 1] (2:46:07 - 2:46:10)

I don't think you can manufacture to that scale also as a new entry.

[Speaker 5] (2:46:12 - 2:46:13)

That can be figured.

[Speaker 2] (2:46:13 - 2:46:14)

I'll raise some money.

[Speaker 1] (2:46:14 - 2:47:21)

That can be figured. See, that whole thing of... It comes back to raising money again.

Yeah. You can't fight a price battle. That's my ultimate realization.

You'll undercut someone, they'll undercut you further. Then what? Again, you have to build a brand that someone will ask you by your name till you do that.

There's no brand equity. I have a very important piece of advice for someone who's 25 and starting. Which camera am I looking into?

Which camera is on me? Which camera is pointing at me? This one.

This one? If you're 25 years old... Say it again.

That looks good. If you're 25 years old, please remember that first mover advantage is not the end all of anything. Writing India's first XYZ doesn't matter.

Just remember that. That's not your moat. And a lot of people I see fall into another thing is that, oh, but this is India's first XXX.

So what?

[Speaker 5] (2:47:21 - 2:47:21)

Yeah.

[Speaker 1] (2:47:21 - 2:47:22)

There's more education.

[Speaker 5] (2:47:22 - 2:47:24)

Doesn't do anything for your business.

[Speaker 1] (2:47:24 - 2:47:28)

It has a nice story to say, but it doesn't necessarily make you feel good. That's about it.

[Speaker 2] (2:47:28 - 2:48:03)

No one else is buying it. If I would like to start a coffee shop, coming back to coffee, do the

commodity price, prices of coffee make such a big difference? I remember growing up from Bangalore, we went to Coorg a lot.

That's where I realized how well coffee is doing. Because in Coorg, if coffee is doing well, they all have new cars. If coffee is doing badly, they have old cars.

Right? Does it make that much of a difference to me starting a coffee shop? Not for a coffee shop.

[Speaker 4] (2:48:03 - 2:48:24)

It would make a big difference if you were selling B2B to Horeca or you're selling directly to consumers. In a coffee shop, even now, coffee prices are at a 50-year high right now. You know, add two, three rupees to the cost of a cup of coffee.

So it's very easily absorbed in the coffee shop. In a packet of coffee, it's not very easily absorbed.

[Speaker 2] (2:48:24 - 2:48:26)

Does it make a difference to you guys?

[Speaker 3] (2:48:26 - 2:49:11)

It does. Because I mean, both of our brands, I get what Matt's saying in terms of there's some absorption that we can do when it comes to the per cup cost. But as soon as you start getting into, let's say, the cost of a canned coffee, right?

Ready to drink beverage or a box of beans that you want to freshly brew at home or a two kilo sack you want to sell institutionally, then suddenly your margins are getting shrunk. So I think from that point of view, the supply chain shock really can impact the business in a major way. But if you're, you know, fortunately, Matt has this incredible array of cafes across the country.

And with that kind of distribution model for him, I mean, yeah, I guess it's less impactful.

[Speaker 2] (2:49:12 - 2:49:23)

How much money do I need to start a coffee shop? Say 2,000 square feet. Prime, Bandra, Laval Road, Vasant Kunj.

[Speaker 4] (2:49:24 - 2:49:25)

80 lakhs to a crore.

[Speaker 3] (2:49:27 - 2:49:30)

Yeah, more, man. I think more. 2,000 square feet.

[Speaker 4] (2:49:31 - 2:49:33)

Yeah, it depends how fancy you want it to look.

[Speaker 3] (2:49:34 - 2:49:40)

Yeah, a crore and a half, I would say at least.

[Speaker 2] (2:49:42 - 2:49:43)

That's doable though.

[Speaker 4] (2:49:44 - 2:49:59)

Yeah, but it can be done also, like it depends if you're not, you don't get the best equipment, like getting lower, lower kind of equipment. It could be done even for less. But you look at a place like Goa's example again, Grindbar.

They've got a decent machine.

[Speaker 1] (2:49:59 - 2:50:05)

They've got a linear mini. They've not spent too much on doing it up, but it's done very nicely though. Yeah, super nice coffee shop.

[Speaker 2] (2:50:05 - 2:50:14)

Yeah. What is this between Arabica and Robusta in India? Do we grow more Robusta than Arabica?

And why is Arabica better than Robusta?

[Speaker 4] (2:50:14 - 2:50:19)

Me, Matt. Matt, you first. Tastes better.

I mean, that's a simple answer.

[Speaker 2] (2:50:20 - 2:50:21)

Why do we grow more Robusta?

[Speaker 4] (2:50:22 - 2:50:29)

Because India doesn't have the altitude that other countries have. So most of the coffee growing areas are at a lower altitude, where Robusta does better than Arabica.

[Speaker 3] (2:50:29 - 2:51:38)

Which, yeah. And interestingly, what's been viewed as like a disadvantage in the past when it comes to Robusta being more prominently and successfully grown at a high standard in India and Vietnam, which are the, at least still the two biggest producers, today. With the effects of climate change kicking in, there are a lot of theories that say that India might emerge a winner because the taller altitudes, growing regions will get hotter, which will make Arabica less and less viable.

So theoretically, that means that Robusta can withstand more heat at lower altitudes. And so it could be an interesting opportunity for Indian Robusta in the future. But I think what's interesting about India is that you actually have multiple species of coffee growing in the same region.

So you have Arabica, you have Robusta, you even have a species that's kind of a hybrid of the two, in some sense, called Xelsa, there's Liberica. So I think that makes India quite unique because a lot of other growing nations don't have that amount of diversity.

[Speaker 2] (2:51:38 - 2:52:41)

Is sustainability still an angle? If I start a coffee store, shop, and say I'm the most sustainable in every element, will I attract an audience? You will attract an audience, but it's niche.

I don't think you can, that can't be the backbone of it. It can't? Okay, I'm going to ask you some really specific questions, okay?

We did some research online, steps to start a coffee shop, ignoring the generic stuff like define your concept, target audience, market research, how to estimate costs, secure funding, all of that. Can I ask you specifically where I would go about hiring? I need 10 people to work.

Barista, servers, this, that, and the other. Where do I hire them? Any competition.

From them. How do I find your employees to hire? You can just walk into a store.

Walk into a blue turquoise, subco and ask them? What's a typical pay scale like?

[Speaker 1] (2:52:41 - 2:52:46)

Is there not like a barista school or something that you can reach out to to get training?

[Speaker 4] (2:52:46 - 2:52:58)

Just train them, just take from them. You can just post on LinkedIn and people like it's a, it's an industry where people will switch companies for a relatively low increase in pay.

[Speaker 2] (2:52:58 - 2:53:00)

What's a typical pay starting?

[Speaker 4] (2:53:01 - 2:53:06)

Anywhere from 21 up to 28k a month.

[Speaker 2] (2:53:06 - 2:53:07)

Eight hour shift.

[Speaker 3] (2:53:08 - 2:53:45)

Eight hour shift, five days a week. But I'd say that that bracket is rapidly increasing because I think increasingly baristas are falling into more of the categorization that a an expert kind of a cocktail mixologist would be than a typical maybe server would be. So there's this whole new categorization I think with mixologists and baristas that's kind of being formed.

So that's an interesting phenomenon as well. And I think so, I do think that pay scale is increasing. And so all of these things impact kind of the premiumization of the segment that's happening and the costs that have to be passed on.

[Speaker 2] (2:53:45 - 2:53:57)

Is there a size you guys have realized by virtue of experience that works? Should a coffee shop be thousand, two thousand, three thousand, five thousand square feet? Thousand.

One thousand? Yeah.

[Speaker 3] (2:53:58 - 2:54:00)

Thousand, no? You'd say including a kitchen?

[Speaker 2] (2:54:01 - 2:54:02)

We don't have kitchens.

[Speaker 3] (2:54:02 - 2:54:03)

So for us it's thousand.

[Speaker 2] (2:54:03 - 2:54:04)

Why is that?

[Speaker 4] (2:54:05 - 2:54:25)

Two thousand, the capex becomes too large to fit it out. And the incremental revenue is not

justifying the increase in rent as well. So below 800 then tables become occupied and people don't want to wait for a coffee shop.

So if they see it's full, they'll just go to somewhere else.

[Speaker 2] (2:54:26 - 2:54:44)

Okay. Is there something that you would like to recommend in terms of equipment? Now I'm assuming I've decided to open a coffee shop.

I have one, two crore rupees that I've borrowed. I've found the space in... Any recommendation in terms of finding the space?

What areas tend to do well?

[Speaker 4] (2:54:45 - 2:55:22)

The areas you think would do well. The higher density areas. Definitely the place that has a mix of office plus residential.

Pure office, then you get limited to only five days a week business. Night business is very low, but you still have to pay the same rental. Pure residential is also can work, but you need very good catchment, dense catchment.

But if you were to think of, I mean for us it's the... tends to be the posher areas where rents are above a certain threshold where... Parking?

Parking is not necessarily a requirement.

[Speaker 5] (2:55:22 - 2:55:22)

No?

[Speaker 2] (2:55:23 - 2:55:27)

Don't most people drive to a coffee shop? Depends.

[Speaker 4] (2:55:27 - 2:55:32)

Like in Bombay, our stores have very little parking and still...

[Speaker 2] (2:55:32 - 2:55:51)

But delivery share is also higher in Bombay and that helps balance it. What share of business is delivery? I'm assuming when a coffee travels with the delivery guy, it doesn't reach the client at optimum temperature.

Yeah, but people are willing to have that trade-off for the convenience of it. I microwave when I order.

[Speaker 4] (2:55:51 - 2:55:59)

Yeah, even like a cappuccino will never come with foam on it, but people accept that. We're at 35% of the revenue is delivery. Is that the same for you?

[Speaker 3] (2:56:00 - 2:56:02)

In terms of the results on the...

[Speaker 2] (2:56:02 - 2:56:06)

In terms of how much revenue is delivery and how much is instant?

[Speaker 3] (2:56:06 - 2:56:12)

Not quite as high. I think delivery is lesser still for us. 20%, yeah.

[Speaker 2] (2:56:13 - 2:56:35)

In terms of machinery, now I've done... I found a space. I've done my fit-out.

I've spent 9,000 bucks a square feet. It's a 1,000 square feet store. Now I need to buy equipment.

To make craft coffee and be commercially viable and make money from this project, what equipment should I buy?

[Speaker 3] (2:56:36 - 2:56:40)

God, there's such a big range. What equipment do you guys buy? I think we would...

[Speaker 4] (2:56:40 - 2:56:46)

We buy from the same similar brands, La Marzocco. I think you also have all La Marzocco. We have La Marzocco.

[Speaker 3] (2:56:46 - 2:56:49)

You have a Slayer, no? We do have, yeah. A couple of different machines, but yeah.

[Speaker 4] (2:56:50 - 2:57:09)

But it's also a... It becomes a signal. It's not to say on a lower, a cheaper machine, you can't produce good quality coffee.

I think the variability is much higher on a lower quality machine. So the consistency won't be the same. You'll have to have much better baristas who are able to operate that equipment to get the same consistency.

So who should I buy it from?

[Speaker 3] (2:57:10 - 2:57:13)

They're distributors. So they have distribution agreements with like...

[Speaker 2] (2:57:13 - 2:57:17)

And your service is dependent on which distributor you use?

[Speaker 5] (2:57:17 - 2:57:17)

Yeah, yeah.

[Speaker 2] (2:57:18 - 2:57:19)

Is there anyone you guys would like to recommend?

[Speaker 5] (2:57:20 - 2:57:20)

Matt.

[Speaker 2] (2:57:23 - 2:57:24)

We've been working with...

[Speaker 5] (2:57:24 - 2:57:24)

Give him some business.

[Speaker 4] (2:57:24 - 2:57:40)

Yeah, this 3-1 Engineering. It's a small company and the guy, the owner is very actively involved. And they do a good job?

Yeah, yeah. We've been working with them for a year. I mean, so actually, we used to import them directly and do the servicing ourselves and then we've transitioned to buying from him.

[Speaker 2] (2:57:41 - 2:57:44)

Is there no Indian brand doing this? Making coffee machines?

[Speaker 4] (2:57:44 - 2:58:03)

No. Please don't buy any Indian coffee machine if you come across it. They've tried.

They've tried for... Especially on the automatic side, a couple people have tried. Why didn't it work?

Quality and consistency is not comparable to the equivalent Chinese or European manufacturers.

[Speaker 2] (2:58:03 - 2:58:21)

That takes us to China. Yeah. What all can I learn as a 25-year-old or buy from China or learn from China if I'm starting a tonic, soda, ginger ale, kombucha, coffee brand?

What can I use from China?

[Speaker 1] (2:58:21 - 2:58:49)

So, a couple of things. When we went from, sort of say, from a zero to manufacturing at a slightly larger scale than that, there were a couple of options available for us in terms of bottling machines, right? Filling machines, let's say.

There were some Indian options available. There were some Chinese options available and the American options available. Indian options were cheap.

Chinese options looked the best and were cheap. American options were straight up expensive.

[Speaker 5] (2:58:49 - 2:58:49)

Yeah, of course.

[Speaker 1] (2:58:49 - 3:01:12)

So, your eye automatically goes to getting Chinese machine. Through experience on some front and through talking to a lot of people in the industry, they say, very, very... Please don't get a Chinese machine because now, on hindsight, we realize that the smaller segment machines, you have to baby them a lot, regardless of whom you get the machine from.

Even a... What kind of machine? A carbonated beverage bottling line.

Broader. Pressure. Temperature.

All of this plays a very, very important role in how that machine is going to function consistently. Is it going to give you the speeds at which you want to manufacture? I would say, my recommendation is start small.

Get a machine from the nearest person that's available who will reach you immediately if there is an issue. And then maybe move on to larger, more important machines or American machines. I

wouldn't...

I would refrain from getting something from China because service becomes a very big problem. Though they're very prompt with service, and most things are solved over a call, but if you need a spare part, it always needs to be important. It becomes really, really challenging.

So, to start off with, until you understand the process, until you understand the product, I would say, work with a local, smaller manufacturer. Even if the machine is not good, you will figure out a way to learn about the product and learn about the machine enough for you to be able to operate it and get to a particular scale after which you can invest. A couple of things.

Learning, I think, on a product standpoint. Learn from the US. Look at a website like a BevNet that does every beverage story and learn so much on trends from there.

See what's happening in Japan. See what's happening in South Korea. Those are markets to really look at.

On an equipment thing, because India has so much pharma and all of that, we have enough suppliers here for everything. Good quality, guys. So, we use all local stuff.

This quality and all is not an issue. Service is not an issue. So, on beverage manufacturing, we have enough options here.

There's, we have a HiMech line. HiMech engineers. HiMech is pretty good.

He's known to be reliable. He's been doing this for a really long time. They do bigger plants for bigger bottlers.

HiMech is really good. Expensive, but very good.

[Speaker 2] (3:01:12 - 3:01:23)

If I were to ask you both a question, don't name yourself. If you had to go to a coffee shop in India, which is neither Blue Decoy or Subco, which is your favorite?

[Speaker 4] (3:01:25 - 3:01:28)

Quick Brown Fox is the deli company that I go to.

[Speaker 2] (3:01:29 - 3:01:32)

Yeah. Quick Brown Fox. It's only in Delhi?

[Speaker 4] (3:01:32 - 3:01:33)

Yeah.

[Speaker 2] (3:01:34 - 3:01:36)

Damn. There's a fun one.

[Speaker 1] (3:01:36 - 3:01:39)

I can't wait to hear what you say. So tough, huh?

[Speaker 3] (3:01:39 - 3:01:58)

On the spot, dude. I mean, there's a bunch of names coming up. Wow.

I recently had a very good pour over from a brand in Bandra called Grey Soul. Grey Soul. Grey Soul.

[Speaker 5] (3:01:58 - 3:01:58)

Yeah.

[Speaker 3] (3:01:59 - 3:02:00)

Nice pour overs.

[Speaker 1] (3:02:00 - 3:02:01)

Zero vibe, though.

[Speaker 3] (3:02:01 - 3:02:12)

Yeah. I mean, no comment on that, but good pour over coffee. A lot of good shops in Gujarat that have opened up, surprisingly.

Oh, yeah. You wouldn't expect in like Surat.

[Speaker 2] (3:02:12 - 3:02:14)

Which one? I'm going to Ahmedabad this week.

[Speaker 3] (3:02:14 - 3:02:17)

Oh, yeah. In Ahmedabad, there's a couple. There's one from Kedar.

[Speaker 2] (3:02:18 - 3:02:19)

Meraki is good.

[Speaker 3] (3:02:19 - 3:02:24)

Meraki is good. Yeah. So many smaller towns.

[Speaker 1] (3:02:24 - 3:02:25)

Nagpur has such a good coffee scene.

[Speaker 5] (3:02:26 - 3:02:26)

Yeah.

[Speaker 1] (3:02:26 - 3:02:28)

Yeah, there's a Corridor 7 in Nagpur.

[Speaker 5] (3:02:28 - 3:02:28)

Corridor 7 is good.

[Speaker 1] (3:02:29 - 3:02:31)

Korebi. What's that one in Ahmedabad?

[Speaker 3] (3:02:31 - 3:02:32)

That's in Delhi, I think.

[Speaker 1] (3:02:32 - 3:02:34)

Anything in Bangalore? Korebi? Korebi coffee?

[Speaker 3] (3:02:34 - 3:02:41)

Yeah. Bangalore-wise, I guess. Crown Up.

[Speaker 4] (3:02:41 - 3:02:45)

I mean, Nirlu does a malty roaster. Benki is good. Who's that?

That Nirlu cafe.

[Speaker 3] (3:02:46 - 3:02:57)

Nirlu, yeah. Nirlu is quite popular. Crown Up, they actually have a coffee estate.

And we actually work when sourcing coffee from them as well. Called Salawara. And they also have their own coffee shop.

Nice coffee shop in Jainabad.

[Speaker 5] (3:02:58 - 3:02:59)

They're quite nice.

[Speaker 1] (3:02:59 - 3:03:02)

On double road. On the Ashoka Pella road. Nice shop.

[Speaker 2] (3:03:02 - 3:03:03)

You say for kombucha?

[Speaker 1] (3:03:04 - 3:03:11)

I actually like Umami Brew from Pune. That's a nice brand. It's a good brand.

I like that brand. They make nice kombucha.

[Speaker 2] (3:03:12 - 3:03:13)

I discovered them at Izumi.

[Speaker 4] (3:03:14 - 3:03:15)

Oh, you did? Nice.

[Speaker 1] (3:03:16 - 3:03:33)

See, that's the thing what you said, right? A lot of your discovery for beverages will happen at a horeca. At a Izumi or something like that.

And it makes a big difference when you try the product at a well-established restaurant or a cafe. You can't do that for coffee, right?

[Speaker 4] (3:03:34 - 3:03:49)

You rely too much on the person who's brewing it. Yeah. And in most places, coffee is seen as a okay, I invested in the machine.

Any random person can make the coffee. They're not going to put the same care and effort at a coffee shop.

[Speaker 2] (3:03:51 - 3:03:58)

And for... They call this category NAB or NAD, right? Non-alcoholic beverages.

Sorry, non-alcoholic beverages.

[Speaker 1] (3:04:01 - 3:04:39)

There's... In India, I would drink a Fever Tree, happily. What is it?

Say again. Fever Tree. Fever Tree is a UK-based company.

They're in India now. Publicly listed. A good stock to see, by the way.

Just to understand the consumption. And globally, there's a brand actually that I've not tried all the products of. But for me, it's a very interesting study to see their products.

It's a brand from Australia called Strange Love. Yeah. Very good product.

Superb Instagram page. Superb content overall. I mean, the product and the stuff they've done.

Beautiful. Content plays a big role in all of this, right?

[Speaker 2] (3:04:39 - 3:04:39)

100%.

[Speaker 5] (3:04:39 - 3:04:40)

Yeah.

[Speaker 2] (3:04:40 - 3:04:44)

How are you... Branding and marketing is largely content today?

[Speaker 5] (3:04:45 - 3:04:45)

Yeah.

[Speaker 2] (3:04:46 - 3:04:59)

Till the person walks into the store, then it can be in store? What are you guys doing differently for content? You have some popular celebrity investors and all that, right?

But they're not active. They're not active? Do they help at all in marketing?

[Speaker 4] (3:05:00 - 3:05:03)

No, no. It was a financial investment for them. Right.

[Speaker 2] (3:05:04 - 3:05:05)

What do you do for content?

[Speaker 4] (3:05:06 - 3:05:15)

So we have an in-house team that works on it. Then we've started doing more micro influencers that's been effective for us.

[Speaker 2] (3:05:16 - 3:05:20)

So you pick an area where your store is and find influencers there?

[Speaker 4] (3:05:20 - 3:05:20)

Yeah.

[Speaker 2] (3:05:21 - 3:05:23)

And you use an agency to do this?

[Speaker 4] (3:05:23 - 3:05:23)

Yeah.

[Speaker 2] (3:05:24 - 3:05:25)

Which agency?

[Speaker 4] (3:05:26 - 3:05:27)

I don't know the name off the top of my head.

[Speaker 2] (3:05:28 - 3:05:29)

You?

[Speaker 1] (3:05:30 - 3:05:54)

I think now a lot of content is on me. So I'm doing... Like if the last piece of content we've put out is me making a drink and talking about this fruit I found in Himachal.

So I do think a lot of people who work in the company should be on the camera. Or it should be their voices or them making stuff or talking about it. I don't think Swami would ever do any influencer paid stuff.

[Speaker 5] (3:05:55 - 3:05:56)

What?

[Speaker 1] (3:05:58 - 3:06:12)

I think if you're a brand that people love, they'll anyways post about it once in a while. And more than that, they'll serve you at their home or whatever. So I think that's the biggest thing there is.

It takes time, but once you get there, I think you're there to stay.

[Speaker 3] (3:06:13 - 3:06:15)

Like the love is real.

[Speaker 1] (3:06:16 - 3:06:19)

Love is real. And to me, when you see organic stuff, I think that's where it's at.

[Speaker 2] (3:06:21 - 3:06:21)

Rahul?

[Speaker 3] (3:06:22 - 3:08:19)

I think we've taken a bit of an arduous, a bit of a different approach to this. We've tried to build all of our own design practice and our own content house ourselves. And that's been a challenge.

It's like building a whole nother organization, small one, but nonetheless, we've never been believers in performance. So we've actually never invested in it. Like a lot of people don't believe me when I say this, but we've actually spent zero rupees ever in the last five years on performance.

So that's something I would also tell anybody watching this I'm not saying it's wrong. I'm just saying that it's not a necessity and it's possible. So I would add that.

The other thing is that we try to shoot, I mean, we try to create a mixture of a lot of like graphic design intervention and sort of uniquely designed overlays that involve a lot of like languages and typography, which is a constant kind of like, I think like resynthesis about the brand being homegrown and having these roots. And I think that has been impactful maybe for us. So I think that's a big pillar.

And recently we've tried some new things like this product here, like we've collaborated with a really amazing band that I kind of was like fangirling around called Petercat Recording Company. And we did a really, really cool set of like videos and stuff with them where they came to our space and we built this little product together where we made these toffees and while they were on tour. And yeah, so we're trying to kind of keep innovating on how content looks for us.

[Speaker 2] (3:08:20 - 3:08:24)

What percentage of revenue goes to marketing or content creation?

[Speaker 3] (3:08:25 - 3:08:26)

Less than 5%.

[Speaker 2] (3:08:26 - 3:08:28)

Including salaries of all the people?

[Speaker 3] (3:08:29 - 3:08:31)

Yeah, 5% I'd say.

[Speaker 4] (3:08:32 - 3:08:42)

For you, Matt? We, ad spends is one, one and a half percent. Including the team?

Then the team would be another 3% or so.

[Speaker 2] (3:08:44 - 3:08:51)

We're not doing any ads, zero. Yeah? No, I mean, but the content team in the company?

Content team is me only.

[Speaker 1] (3:08:53 - 3:09:46)

So very high, the salary must be very high. I wish, but I just think, and you're seeing this with so many brands, right? I think the team talking about the product is a much more genuine story than someone else talking about it.

But then you have to get distribution. How do you get enough people to hear the story? I think people will hear a genuine story if 10,000 people hear a more genuine story.

I think that's more impactful than one lakh people seeing some generic ad that an agency has done. I think there's a big difference there. Like, we talked about Bene, right, earlier.

I'm not standing in the line for a dosa. Not happening. I'll sell for a dosa that's 90% them and...

But it's working because there are more people in there. But look at their content. Such simple stuff.

They're talking about their journey. And I think people want to see all of that now.

[Speaker 4] (3:09:48 - 3:10:10)

I still feel like you have to have some, so we used to do everything internally, but then it becomes a bit of an echo chamber. If you don't have any external, even an agency or some other way to

distribute the content, it's hard to get new customers. You'll engage with your existing customers, but...

Fair. You're also in a different cycle of the brand now.

[Speaker 1] (3:10:10 - 3:10:17)

I think as someone starting out, I think if they are on camera and they're telling their story, I think it's a far more effective thing to do.

[Speaker 3] (3:10:17 - 3:10:21)

Nikhil, what are your thoughts on endorsements? Celebrity endorsements.

[Speaker 2] (3:10:21 - 3:11:07)

I'm part of some brands where we do have it. And I'm part of... Like us, inherently, we've never done ads.

I don't mean in like 1-2 years, but I'm talking about like 15-16 years. It works for some. It doesn't work for some.

Like, you were talking about quick commerce. For somebody like Adit, performance marketing really works. Okay.

So, I can't speak about a means of marketing in isolation. It depends on what product you're trying to sell. I think for platform plays where you have many things to offer, the cost of onboarding a customer is mitigated when they buy the other stuff.

[Speaker 1] (3:11:07 - 3:11:14)

Just to be very clear, whenever I'm talking about performance, I'm purely talking of a product company and not an app.

[Speaker 2] (3:11:15 - 3:12:06)

And I mean, the amount of money Google is making on performance, it has to be working. Like if you were a fashion brand where they don't have to come to your store or find you online and order, but it's a t-shirt or something. For people like that, for every buck...

I know many companies I'm a part of where they're spending a buck and getting 4 bucks, 5 bucks in sales. And if there's a quality differentiation, they get repeat business as well. So, this is something I get asked a lot because we have not done advertising and marketing.

But to his point, I feel like at some point, the person becomes the brand, but it's a long churn. It's a very long churn. I think distribution has inflection points, but to get to that inflection point is a

long, long churn.

[Speaker 1] (3:12:07 - 3:12:42)

I think the starting part is, again, this is what a lot of people don't realize. And, you know, a lot of brands have made things look easier. For example, Mac would have made the coffee business look a lot easier.

Right? Distribution, working on distribution is going nowhere. That has to be done day in and day out.

It's not romantic. It is not... It's hard work.

Like how many times we've sat, Rahul and I would sit at Nature's Basket office, spend three hours being sent back. That's happened so many times.

[Speaker 2] (3:12:42 - 3:13:03)

It's both tactical and strategic because finding distribution is as much a factor of the quality of content or the authenticity of content that you put out as it is of the algorithm that is governing But then content is still coming in at a later stage.

[Speaker 1] (3:13:03 - 3:13:17)

If I'm looking at the product distribution, right? Today, I want to talk to a Taj or an O'Briens firm getting into their... all their hotels, right?

The amount of effort that'll take or like Nature's Basket example.

[Speaker 2] (3:13:18 - 3:13:37)

That procurement guy is not watching content or doing anything. Right? No, but if something gets spoken about enough, people get interested in it.

And these things make a difference. I think, like I said, marketing is a very nuanced thing and it takes a long while to build distribution but...

[Speaker 1] (3:13:37 - 3:14:57)

Yeah, like what I said earlier, right? If someone asks me by my brand name at a bar, my work there is done because then that team would reach out automatically. Makes things...

Makes life a lot easier. For you? We've not...

We've never really had the expertise to put money into marketing and things like that. But we've done what we're good at. We're making a lot of product and innovation.

So essentially what we did was we did a lot of collab with brands. And then we have a very small following in general but we sort of use their followers and their things to sort of gain a lot of attention towards us. One such was the Naru Noodle Bar, the ramen shop in Bangalore.

We did a bacon, not bacon kombucha for him which was one of our most successful collabs. Amazing. Yeah.

We did another one with a clothing brand called Race Orbit that focused on race clothing. We did a 24 karat gold kombucha for them as a collab. So we've done like a bunch of collabs and that's literally the only kind of marketing we do.

Don't know any performance marketing. Don't know anything. But I also feel like kombucha is one of those things like it gets built with time.

We have to do more education than marketing really which in turn becomes marketing on some level. Still figuring out those pieces.

[Speaker 5] (3:14:58 - 3:14:58)

Yeah.

[Speaker 1] (3:14:58 - 3:15:02)

But tell me what's your outlook on the space as an investor?

[Speaker 4] (3:15:03 - 3:15:11)

In your space? Coffee, non-alcoholic beverages. Why did you invest in Subgo for example?

What was the rationale?

[Speaker 2] (3:15:13 - 3:16:48)

I like how specific Rahul is. Normally when you invest in a brand, it pivots a bunch of times. I think Rahul is so specific that everything follows a certain language and he's not willing to compromise on that for anything.

I think that level of specificity, there's a difference between craft and art, right? I feel similar about some other people I know who I work with. They almost go to the art point that they become so anal about what they're building that somebody can give them the business case of changing it but they won't because they believe in it so much.

Rahul is a bit like that which is... And you've seen that type of behavior lead to good financial outcome? Over time, in the long run, not in the short run.

See, in the short run, novelty sells. In the long time, I think specificity like that sells. Authenticity.

Yeah, I think so. But as an investor, I like the coffee space. Like I said, it gives you a high, legal, societally accepted, crazy addictive.

I didn't drink coffee three years ago. Oh yeah? Now I feel like crap if I don't have two coffees a day.

What were you doing before that? I didn't drink coffee. Tea, like what?

No caffeine? I used to have green tea. Somebody had sold me the concept that green teas are very healthy.

Like everything in life, it's cyclical. Now when I look at a green tea bag, I think microplastics.

[Speaker 5] (3:16:48 - 3:16:49)

Yeah, of course.

[Speaker 2] (3:16:49 - 3:16:58)

But back then, green tea, you know? I used to drink it. I used to put it on my face.

I used to like just play with it. But yeah, coffee is hard to stop drinking.

[Speaker 5] (3:16:59 - 3:16:59)

Yeah.

[Speaker 2] (3:16:59 - 3:17:06)

It's such a big thing. I think that alone, it's like nicotine almost caffeine, you know?

[Speaker 1] (3:17:06 - 3:17:50)

The other thing in the space is, especially for us, which is alcohol adjacent. And with this whole balance of what happens if people start drinking less alcohol and all of that and developing alternate products for them. Long term, this is also very transaction heavy.

You see a lot of transactions happen in this space. So for anyone who's planning to enter this space, also see, again, like a resource like a BevNet or something. See the kind of acquisitions and all happening in this space.

Because that's also a very interesting thing to look long term. And I won't be surprised if tomorrow QuickCommerce company only starts acquiring, right? Rather than doing their own white label.

[Speaker 5] (3:17:50 - 3:17:50)

Yeah.

[Speaker 1] (3:17:51 - 3:18:23)

So there is a lot of opportunity I see somewhere down the line for that. Like acquires? Like acquisitions?

They'll acquire you and then they'll get you run it as well. No, I'm talking brands. It's just that India has not seen too many beverage acquisitions yet.

Great examples of it apart from, I think Thumbs Up would have been the last big one. Bindu. Bindu.

Yeah. Jira phase. Yeah.

And a couple of Jira ones. But like raw press free wasn't that great. So we've not seen that much till now.

But this space will be ripe for a lot of those kind of transactions.

[Speaker 2] (3:18:24 - 3:19:40)

Where I think the world is also going. The last like fortnight I was in Switzerland. We have this thing every year called the World Economic Forum.

So I spoke to so many Europeans and Americans. Everybody was talking about one thing. Trump.

How the world is going to become more fragmented. Then we know it for it to. Then we know how the world has been in the last couple of decades.

If he stops foreign brands from having a free market and selling there. Other countries will reciprocate. And I feel like if India were to start reciprocating against the Cokes and Pepsis.

I feel like the use case for the craft industry in India. That becomes the inflection point. Oh yeah.

So I'm all the more bullish on this industry for that reason. But net-net there's some patriotic element in me. Where not just in like beverages.

But it could be a clothing brand. It could be a food brand. It could be like anything.

Sneakers, electronics. As far as I can discount 5% in quality and buy Indian. I would generally buy Indian.

5% in quality or a premium in price. I try. I'm of the same opinion fully.

[Speaker 3] (3:19:40 - 3:20:04)

Can I ask you something Nikhil? Since you were in Switzerland and having these conversations. How do you feel like the sort of rapid advancement in large language models.

Is going to impact consumer? I mean in a very generalistic sense. But I'm very curious about how you see that.

Because the algos are about to go all over the place. I mean what's it going to mean? How does marketing get impacted?

[Speaker 2] (3:20:04 - 3:21:31)

It's a very complicated question to answer. I did that podcast with Yann LeCun. Who's the chief scientist at Meta.

Me and the perplexity guy are doing something. When it comes to AI specifically. I don't know how to view it really.

I feel like till today. The amount of money that has been spent on infra around AI. To the revenues that it is generating today.

Justify the multiples that the people who have spent the money are getting. Likely not. How will it change tomorrow?

And what will happen? Very very tough to say. I feel like creativity.

What you guys have. Will get a significant premium than it has in the last generation. Because every model that we talk about.

Can probably predict or say what the likely scenario will be. By creativity I mean the very contrarian nature of creativity. I believe something is creative when you do something that is not following the trend.

I feel like any model will eventually either predict random or trend. Not necessarily counter trend. And most innovation generally comes from counter trend thinking.

So creative people will likely become a lot more valuable.

[Speaker 1] (3:21:31 - 3:21:34)

And speaking of quick comm. Who would you invest in?

[Speaker 2] (3:21:35 - 3:24:21)

At the end of the day as an investor. I look at companies as a multiple of the EBITDA or net cash that they're throwing out. In today's equation I find them expensive.

Hence I have not invested. I'm more a conservative investor. So no.

But I do question. It's always going to come at a premium, right? Like if I buy a Swami bottle at 50 rupees.

And if I get it delivered from one of the quick commerce guys. There is a cost of labor. The 30 minutes the rider was going to ride from their dark store to my house.

Then leave from here, go back, pick up another delivery from the dark store. The cost of fuel. Inflation will drive a lot of this cost up.

His salary for example. How much he makes per hour. If you were to extrapolate and say he has to make a minimum of 100 bucks an hour.

If he works 20-22 days that's like a salary of 22,000 rupees a month. At some point I will question for small deliveries. Like if I want a bottle of Swami, will I pay that premium?

Right now it might be discounted by capital coming in from elsewhere. Beyond a point of time in India. If I'm using quick commerce five times a day and paying 50 rupees each time or 30 rupees each time.

Maybe not for me but for a vast majority of India that 150 rupees a day. The 5000 rupees. At some point we'll get to the point where you know an apartment complex hires three guys or four guys or you hire help.

I have heard the argument of why it didn't work in the west and it will work in India. The density of population and all of that. But the category of people in India which can afford to pay a premium is still very low.

Very very low. I think we are very very price conscious. It's almost like annoyingly price conscious.

If you're selling something at 50 rupees and you're not in the craft space. You're in the mass market. If he sells it at 45 people just switch.

That is the Indian culture and mentality. It doesn't matter what country he's from. I know he's Indian.

But thank you for doing this and thank you for making the time to travel this far. And yeah super. Thanks all.

Thank you. Did I miss anything guys? Yeah you guys want to say anything?

[Speaker 1] (3:24:22 - 3:24:33)

Thank you for having us. It was awesome. Thank you.

It's been a great conversation. Yeah and like I said earlier it's a open space and so much to build in this place.

[Speaker 2] (3:24:33 - 3:24:40)

And let's hope everybody buys more Indian independent brands like each one of you.

[Speaker 1] (3:24:40 - 3:24:59)

Also the craft beverage space in India is still a very small community. And mostly, largely everyone helps out each other that I've seen. So if anyone wants help or whatever I'm pretty sure when you reach out to people they're usually friendly people.

We're very very open in terms of how we've got their vendors. He just gave his address also.

[Speaker 5] (3:24:59 - 3:25:04)

Yeah I'm happy to give more information. Are you sure?

[Speaker 2] (3:25:04 - 3:25:09)

If 10 people show up to your house next. Please don't encourage people to show up.

[Speaker 1] (3:25:12 - 3:25:14)

Please don't shop at my doorstep.

[Speaker 4] (3:25:14 - 3:25:16)

Tomorrow they should send flowers at least.

[Speaker 1] (3:25:17 - 3:25:29)

I hope. Yeah, yeah, yeah. But we'll be happy.

Please reach out. I'll be happy to share vendors, suppliers, any issues, taxes, legislation, whatever.

[Speaker 2] (3:25:30 - 3:25:32)

How do people reach out to you guys? Social media?

[Speaker 1] (3:25:32 - 3:25:33)

Instagram is the best way.

[Speaker 2] (3:25:33 - 3:25:34)

Instagram is the best way.

[Speaker 1] (3:25:34 - 3:25:40)

I still reply to most of the messages on my Instagram. I have 1,100 messages on WhatsApp. Instagram no.